

Global Human Sovereign Fund: Reconstructing the Institutional Blueprint for the Interest Landscape Between China and the Global Community

—— Under the Vast Sky, the People First; Between the Mountains and Rivers, the State is the Temple: An Everlasting Covenant to Build the Foundation for Life on Earth

An inalienable, everlasting, and foundational survival trust for every life on Earth. It starts with the restitution of global public wealth, is framed by an irreversible institutional design, and ends with the retreat of war, poverty, and fear.

Conceiver: Yang Shengqi

Introduction: Why Discuss This Plan?

For thousands of years of human societal operation, it has been entangled in a periodic predicament: the accumulation of wealth inevitably leads to the concentration of wealth; the concentration of wealth inevitably leads to the monopolization of power; the monopolization of power inevitably solidifies into unfair distribution; unfair distribution inevitably accumulates class hatred; the outbreak of hatred inevitably destroys the existing order. After the old order collapses, a new order is established on the ruins, and then a new cycle begins.

This cycle runs through all of recorded human history. It disregards ideology, cultural tradition, or geographical boundaries. It asks only one question: To whom does the ownership of public wealth ultimately belong?

So far, humanity has only two answers to this question: either it belongs to a "divinely ordained" monarch, or it belongs to an "abstract" people—and the latter, in operational terms, eventually always alienates into the former: nominal ownership by all, in reality controlled by the few.

This plan attempts to offer a third answer: Public wealth belongs to no one; it can only be returned to everyone. And the method of return is not a one-time distribution, not an equalization of resources, not a violent revolutionary expropriation, but an irreversible institutional design—making wealth, legally, physically, and governance-wise, completely detach from any individual, family, political party, or administrative body, becoming an inherent and inalienable legal right of all citizens.

Ultimately, this plan seeks to answer not an economic or political question, but four fundamental needs of human existence as individuals within a national community:

- Sense of Security – Is the baseline for survival institutionally guaranteed, rather than relying on anyone's charity or market fluctuations?
- Sense of Gain – Do the fruits of labor and creation truly belong to oneself, rather than being deprived by an invisible distribution mechanism?

- Sense of Happiness – Beyond survival and security, is there still room to pursue a life worth living?
- Sense of Participation – Is one recognized as an official member of the community, rather than being excluded from the circle of beneficiaries of public wealth?

These four needs, in any era and under any system, are the most basic expectations of humanity for public order. The entire design of this plan is to provide an irreversible institutional response to these four expectations.

The poor of this country, the poor of the Earth—they are not rhetorical objects of this plan, not objects of charity, not pawns for votes. They are the masters of this plan. Every word of this plan is ultimately written for them. If those in power cannot see them, this plan is not speaking for anyone; it is merely designing a more fitting coat for power.

The entire ambition of this plan is to ensure that the poorest child in the last village on Earth, from the moment they are born, possesses a survival guarantee just as inalienable as the richest person on this planet. Not because they deserve pity, but because they deserve to be treated as a complete human being.

Introduction: Analysis of Pros and Cons

Pros:

- Directly points out the periodic predicament of human history, not avoiding fundamental contradictions.
- Proposes a "third answer," clearly contrasting with existing plans.
- Uses the four fundamental needs (security, gain, happiness, participation) as criteria for evaluating the plan, facilitating subsequent assessment.
- The ending "child from the last village" provides a powerful emotional anchor.

Cons:

- The description of historical cycles may be criticized as overly simplistic.
- The mention of a "third answer" needs to be supported by institutional design in the following text, otherwise it easily becomes a slogan.
- Emotional language may be seen as sensationalism by some rationalists.

Why accept these cons:

- The simplification of historical cycles is to allow the reader to quickly grasp the problem; subsequent chapters will provide detailed institutional responses.
- The "third answer" will be fully substantiated in Chapters 1 through 3.
- The emotional anchor is not sensationalism; it is meant to remind the reader always: the

sole beneficiary of this plan is the concrete individual.

Data Notes

No macro-data citations in this introduction.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The four fundamental needs are universal aspirations transcending borders, race, and ideology. The "child from the last village" clearly points to the most vulnerable individuals of all humanity.
For the Nation	Pass	The "origin context" of China as the plan's starting point is not yet expanded here, but the underlying logic applies to any country with similar problems.
For the People	Pass	The ultimate goal of the plan is "the poor of this country, the poor of the Earth." The four fundamental needs all revolve around the living conditions of ordinary individuals.
Conclusion	Pass	The introduction clarifies the ultimate beneficiary of the plan—every specific, ordinary person who might be forgotten.

Vision

If one day, humanity looks back at this moment, they will find that those nightmares that have entangled us for thousands of years—war, poverty, disease—are not invincible destinies.

War stems from contention. When everyone's survival no longer depends on anyone's grace, when plundering can no longer secure any extra guarantee, the logic of weapons will dry up from the root.

Poverty stems from scarcity. When public wealth is returned to its creators, when every life from birth possesses an inalienable foundation for survival, "scarcity" is revealed as a lie.

Disease—the most stubborn pain of biological instinct—still requires medicine to conquer. But at least, humanity will no longer lose the chance for treatment because of poverty, no longer overdraw their bodies due to survival pressure, and no longer give up hope because of despair.

These three ancient enemies will not retreat amidst cheers. They will only, one day, be calmly written into history textbooks by future generations—as evidence that humanity once lived in scarcity and fear, not as a permanent destiny.

Vision: Analysis of Pros and Cons

Pros:

- Taking war, poverty, and disease as ultimate enemies presents a grand vision.
- The analysis of war (stemming from contention) directly echoes the later "bundling logic."
- The handling of disease is very honest—admitting that the fund cannot eliminate disease, only the loss of treatment opportunities due to poverty, without over-promising capabilities.

Cons:

- The statement "scarcity is revealed as a lie" may be criticized as too absolute.
- The vision lacks quantitative indicators and may be accused of being "vague."

Why accept these cons:

- "Lie" means that at the institutional level, the scarcity of basic survival goods is man-made, not natural. This judgment is argued in Section 1.1.
- The vision does not need quantitative indicators; it provides a sense of direction. Quantitative indicators are reflected in operational logic and technical requirements.

Data Notes

No macro-data citations in this vision section.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The vision's three enemies (war, poverty, disease) are common sufferings of all humanity, regardless of nationality.
For the Nation	Pass	If China is the first to realize this vision, it will become a leader in human civilization progress, not a conqueror.
For the People	Pass	Every ordinary person will be liberated from the "fear of survival" and gain true freedom.
Conclusion	Pass	The vision provides direction; subsequent chapters provide the path.

Origin Context: A Local Cross-Section

The theoretical starting point of this plan is China—an economy with a massive stock of state-owned capital, a deep tradition of administrative monopolies, and intense tension in wealth distribution.

In China's reality, the accumulation and distribution of national wealth present a profound paradox: on one hand, the state owns the world's largest operational state-owned assets, with massive net asset value, and huge annual excess profits generated by monopolistic industries such as tobacco, oil, telecommunications, and finance[Note 3]. On the other hand, the wealth Gini coefficient, which reflects disparities in wealth ownership, remains high over the long term—according to authoritative sources like the Credit Suisse Global Wealth Report, it consistently stays between 0.6 and 0.7 (0 means perfect equality, 1 means perfect inequality), while a value of 0.4 is generally considered the warning line for high inequality[Note 1][Note 7]. The wealthiest 10% of the population control approximately 68% of the society's wealth, while the total wealth held by the bottom 50% of the population is often less than 5% of the society's total wealth[Note 1]. The concentration of wealth is not purely a natural result of market competition, but a concomitant phenomenon of administrative power deeply participating in resource allocation and interest distribution.

This is not a problem unique to China. Any country with large-scale administrative monopolies and state-owned capital faces the same structural dilemma: when the ownership of public wealth heavily overlaps with private power, "public ownership" effectively alienates into "official ownership" at the operational level, while the ultimate rights of all citizens as owners have always lacked an institutionalized channel for realization.

It is in the questioning of this problem that the core logic of this plan emerges: if there exists an institutional arrangement capable of taking the excess profits generated by monopolistic industries—morally belonging to all citizens in the first place—and injecting them into a fund beyond administrative control through independent legislation, complete divestiture, physical isolation, and perpetual lock-in, then the deadlock of wealth distribution plaguing China and other similar countries can be untied at its source.

China thus becomes the earliest laboratory of ideas for this plan. Many of the plan's key technical constraints—such as how to prevent a strong administrative system from re-establishing de facto control after the fund's establishment, and how to ensure that the right to benefit is not deprived due to a citizen's political stance—originate from targeted responses to China's governance characteristics. However, once completed, these designs prove equally applicable to any country with similar power structures.

This plan starts from this local cross-section but ultimately points to a common human proposition that transcends any national border.

Notes

[Note 1] Data on the wealth Gini coefficient and wealth concentration are based on publicly available sources such as the Credit Suisse/UBS Global Wealth Report and the World Inequality

Database (WID) available at the time of writing (the 2020s). Upon actual implementation of this plan, the latest data from an independent international auditing firm should be used as the benchmark.

[Note 3] Data on China Tobacco's annual tax and profit is derived from the annual communique of the State Tobacco Monopoly Administration, based on the latest publicly available data at the time of writing. Data for other monopolistic industries should be based on independent audits at the time of launch.

[Note 7] A macro leverage ratio of 0.4 is generally considered the warning line for high inequality. This standard originates from the common international practices of the International Monetary Fund (IMF) and the World Bank and is for reference only.

Origin Context: Analysis of Pros and Cons

Pros:

- Acknowledges the plan's origin context without pretending to be "neutral" or "universal."
- Points out the alienation of "public ownership" into "official ownership," a real dilemma in many countries.
- Positions China as a "laboratory of ideas" rather than the sole application scenario, paving the way for future globalization.
- The ascent from "local cross-section" to "universal human proposition" is clear.

Cons:

- Explicitly taking China as the starting point may be seen by some readers as "targeting China," triggering defensive reactions.
- Data like the wealth Gini coefficient may change over time; the plan must state "based on publicly available data at the time of writing."
- The description of administrative monopolies may be criticized as "overly negative."

Why accept these cons:

- The plan's logic and institutional design are decontextualized; the origin context only explains "where the problem comes from." Readers from any country can analogize to their own similar structures.
 - The data issue is resolved in the appendix by explicitly requiring the use of the latest reports from an "independent international auditing firm."
 - The description of administrative monopolies is factual, not a value judgment. The plan's goal is to provide an institutional exit.
-

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Although the origin is China, it points to all countries with similar problems—most developing countries, transitioning economies, and even some developed countries.
For the Nation	Pass	China facing its own problems squarely and providing an exportable institutional solution is the responsibility of a "civilizational state."
For the People	Pass	The plan asks, "Why hasn't the wealth owned by all the people transformed into a sense of gain for all the people?"—this is the most basic concern for the people's livelihood.
Conclusion	Pass	The origin context establishes the authenticity of the problem and provides real soil for the subsequent institutional design.

The Starting Point of the Problem: Sixfold Ruptures

Rupture One: The Rupture Between Ownership and Sense of Gain

By the end of the first quarter of 2026, China's macro leverage ratio had reached 309.3%, with total macro debt estimated at approximately 434 trillion RMB, corresponding to an annual GDP of about 140.19 trillion RMB for the year 2025[Note 2].

Meanwhile, China possesses the world's largest monopolistic state-owned assets—China Tobacco's annual tax and profit exceeds 1.6 trillion RMB[Note 3], and the monopolistic profits from industries like oil, electricity, and telecommunications are equally enormous. These wealth sources fundamentally originate from resources owned by all the people and market monopoly privileges, and should therefore belong to all citizens.

However, under the current system, most of these enormous profits flow directly into the national treasury for use in annual budget expenditures. Ordinary citizens have little intuitive perception of this, and the concept of "state-owned assets belonging to all the people" remains largely conceptual, failing to translate into visible, tangible, and disposable property income in the name of each individual.

[Note 2] Macro leverage ratio, total debt, and GDP data are sourced from the National Institution for Finance & Development (NIFD), the Bank for International Settlements (BIS), and the National Bureau of Statistics. Data are as of the first quarter of 2026; upon actual launch, the latest data from authoritative institutions should be used as the benchmark.

Rupture Two: The Rupture Between Inside and Outside the System

Civil servants have annuities, stable expectations, and systemic protection. Private sector employees, gig workers, and the unemployed do not.

Society faces the anxiety of "getting old before getting rich" and the fairness anxiety caused by the welfare gap between those inside and outside the system.

This is not a Gini coefficient problem. It is a deep-seated tear of "you and I are not in the same system."

Rupture Three: The Rupture of Trust Between China and the World

"Decoupling" has become the global narrative. The outside world does not believe that Chinese capital can flow in and out freely without arbitrary intervention. China does not fully trust external rules. Both sides spin their wheels in suspicion.

Rupture Four: The Rupture of the Time Dimension – Short-Termism in Decision-Making

Any leadership under any system has a "short-term performance bias"—they want to see results within their term. Five or ten years is already considered long-term. Thirty years? That's for the next few terms. This is not a moral issue; it is an issue of incentive structure.

Rupture Five: The Generational Rupture – The Younger Generation Isn't Buying In

Young people see the "pension gap," "delayed retirement," and the "35-year-old crisis." After rational calculation, they conclude: "I won't live to see the day I get the money, or the money I get won't be worth anything."

Someone working a gig job pays over 1,000 RMB a month in contributions, taking up 1/3 to 1/2 of their income. Young people are turning to more extreme forms of self-rescue—"FIRE" (Financial Independence, Retire Early), "save up 2 million for interest," or simply "lying flat."

Over 40 million people have stopped paying into the system. It's not because they are stupid; it's because they are too rational.

Rupture Six: The Universality of Human Short-Sightedness

This is not China's problem. It is all of humanity's problem. All people—fund managers, officials, ordinary citizens—have a "present bias": current benefits outweigh future benefits. This is code written into our brains by evolution.

Three institutional ruptures + two time-dimensional ruptures + one fundamental human rupture = the complete set of problems that the institutional design must address.

Sixfold Ruptures: Analysis of Pros and Cons

Pros:

- Decomposes the abstract institutional problem into six concrete, perceptible ruptures, making it easier for readers to understand.
- The figure of "over 40 million dropped out" provides an impactful data anchor.
- Clearly states that "this is not a moral issue, but an issue of incentive structure," avoiding the futile debate of moral condemnation.

Cons:

- The data in Rupture Five (40 million) requires specifying the source and timeliness.
- Descriptions of some ruptures may be criticized as "overly pessimistic."

Why accept these cons:

- The ruptures are a diagnosis of the problem, not a verdict on the current situation. The subsequent institutional design is precisely intended to resolve these ruptures.
- "Overly pessimistic" precisely indicates that the problem is real. The courage of this plan lies in facing the problem directly, not avoiding it.

Data Notes

Note No.	Data Content	Source	Timeliness
Note 2	Macro leverage ratio 309.3%, total debt 434 trillion RMB, GDP 140.19 trillion RMB	NIFD, BIS, National Bureau of Statistics	As of Q1 2026
Note 3	China Tobacco annual tax and profit exceeds 1.6 trillion RMB	State Tobacco Monopoly Administration	Latest publicly available data at time of writing

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Rupture Six explicitly states the "universality of human short-sightedness." This is not China's problem, but all of humanity's problem.
For the Nation	Pass	Ruptures One to Five are China's current genuine dilemmas. Only by facing the problem squarely can an institution be designed that truly solves it.
For the People	Pass	Rupture Two (inside/outside the system) and Rupture Five (generational rupture) directly target ordinary people's survival anxiety and fairness anxiety.
Conclusion	Pass	The Sixfold Ruptures provide a complete checklist of problems for the subsequent institutional design.

Chapter One: General Principles

1.1 Core Insight: Wealth is Not Inherently Scarce

The underlying assumption of all conflicts in human society is that "survival resources are naturally scarce, hence they must be contested." But this assumption itself needs to be examined.

The accumulated public wealth of a modern state—including but not limited to: land appreciation gains, natural resource rents, seigniorage from currency issuance, profits of state-owned enterprises, excess returns from administrative monopolies, proceeds from spectrum and license auctions—far exceeds the amount needed to guarantee the basic survival of all its citizens.

The real scarcity is not a lack of total volume, but the monopolization of the ownership of this public wealth by a very few individuals at the very inception of the institutional design. The wealth Gini coefficient reflecting this degree of monopolization is persistently above 0.6 or even 0.7 in most countries (0 means perfect equality, 1 means perfect inequality), whereas a value of 0.4 is generally considered the warning line for high inequality[Note 1][Note 7]. This means that the wealthiest 10% of the population often control between 60% and 80% of a society's wealth, while the total wealth held by the bottom 50% of the population is often less than 5% of the society's total wealth[Note 1]. This monopolization creates an artificial sense of scarcity, which in turn drives all members of society into an endless spiral of "scrambling": some use power to claim ownership, some use capital to arbitrage, some use violence to seize, and the vast majority can only sell their labor for survival.

The core insight of this plan is: if this portion of public wealth, inherently belonging to all citizens, is returned to everyone at its source through an irreversible institutional design, the illusion of scarcity will dissipate at the root. When everyone's basic survival no longer depends on dependence on a particular employer, a particular institution, a particular benefactor, the most fundamental "scrambling" motive in human society will be systematically weakened.

This is not a plan about "how to make society fairer." It is a plan about "how to enable civilization to break out of its death loop."

1.1 Analysis of Pros and Cons

Pros:

- Starts from the underlying assumption, not avoiding the fundamental contradictions of civilization.
- Clearly distinguishes between "total scarcity" (false) and "monopolization of ownership" (true); logic is solid.
- Positions the plan as "breaking out of a death loop" rather than "being fairer," avoiding being drawn into traditional left-right debates.

Cons:

- The statement "wealth is not inherently scarce" can be refuted in absolute terms (some resources are indeed physically scarce).
- May be attacked as "utopian economics denying scarcity."

Why accept these cons:

- The plan's argument is not that "all resources are not scarce," but that "the total amount of public wealth sufficient to guarantee basic survival is not scarce." This qualification is rigorous enough.

1.1 Data Notes

Note No.	Data Content	Source	Timeliness
Note 1	Wealth Gini coefficient, top 10% wealth share, bottom 50% wealth share	Credit Suisse/UBS Global Wealth Report, WID	Based on 2020s data
Note 7	0.4 as warning line for high inequality	IMF, World Bank	International standard

1.1 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	"Civilization breaking out of its death loop" is a grand proposition transcending borders. The roots of war, poverty, and fear are traced back to the common problem of "monopolization of ownership."
For the Nation	Pass	China possesses the world's largest scale of public wealth and also faces the most severe problem of ownership monopolization. Solving China's problem is in itself a contribution to the world.
For the People	Pass	"The basic survival of every ordinary person no longer depends on charity"—this is the most fundamental promise to "the people."
Conclusion	Pass	The core insight lays the philosophical foundation for the entire plan.

1.2 Definition of the Plan

The Human Wealth Fund, in its ultimate form, will be the **Earth Human Basic Survival Bottom-Line Trust**.

It does not belong to any country, any institution, or any particular group. It belongs only to every specific, irreplaceable life form with equal beneficiary rights. When a newborn baby, whether born in a war-torn land or a bustling metropolis, possesses a completely equal and inalienable account, only then does this institution truly transcend countries, nations, and ideologies, achieving the most thorough return to the concept of "humanity."

In operational terms, it is a permanent institutional arrangement with the excess profits of national administrative monopolistic industries and public accumulation as the initial capital source, independent legislation as legal protection, complete divestiture and physical isolation as governance principles, perpetual lock-in of initial capital as a safety bottom line, global multi-asset allocation as a means of value appreciation, an open tiered account system as the beneficiary structure, and with all beneficiary accounts receiving returns in proportion to their contributed capital.

Its governance rights are exercised jointly by the citizens and institutions of all participating countries, in proportion to their contributed capital. No single country, institution, or individual may monopolize or dominate the governance rights of the fund. The sole purpose of the fund is to provide an inalienable basic survival bottom-line guarantee for every life form on Earth.

1.2 Analysis of Pros and Cons

Pros:

- The definition is extremely clear, with no grey areas.
- The "baby test" is an operational and verifiable ultimate standard.
- "Returns in proportion to contributed capital" is consistent with "governance rights exercised in proportion to contributed capital."

Cons:

- "Earth Human" has no legal personality under current international law.
- "Does not belong to any country" may be seen by sovereign states as a challenge.

Why accept these cons:

- "Earth Human" does not require legal personality now; it is the ultimate goal of the institution. Operationally, it is realized through capital injection by countries/institutions and association via individual nationality/identity.
 - Countries are subjects of capital injection, and governance rights are exercised in proportion to contributed capital. Countries do not disappear; they become part of the institution.
-

1.2 First Model Test

Test Dimension	Assessment Explanation	
For Humanity	Pass	"Earth Human Basic Survival Bottom-Line Trust"—the subject is "Earth Human," not "citizens of a particular country."
For the Nation	Pass	The country is one of the "subjects of capital injection," and governance rights are exercised in proportion to contributed capital. The country does not disappear; it becomes part of the institution.
For the People	Pass	"Every specific, irreplaceable life form"—moving from abstract "people" to concrete individuals.
Conclusion	Pass	The definition establishes the fundamental principle of "humanity first."

1.3 Fundamental Attributes of the Plan

This plan is NOT:

- Not a state-owned enterprise reform plan
- Not an extension or supplement to the social welfare system
- Not a variant of Universal Basic Income (UBI)
- Not a modification of a sovereign wealth fund
- Not a form of tax redistribution

This plan IS:

- A source-level restitution of public wealth ownership
 - An irreversible legal institutional design
 - A fourth-dimensional governance architecture independent of any government, political party, or family
-

1.3 Analysis of Pros and Cons

Pros:

- Negative definitions are extremely important, preventing readers from using old frameworks to understand new things.
- Clearly distinguishes "source-level restitution" from "redistribution."
- "Fourth-dimensional governance architecture" implies a new dimension beyond executive, legislative, and judicial powers.

Cons:

- Too many negative definitions may appear overly defensive.
- The term "fourth-dimensional" may be seen as pretentious.

Why accept these cons:

- Without drawing clear boundaries, the plan will be distorted into "just another welfare plan," easily shot down by existing critical templates.

1.3 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The "fourth-dimensional governance architecture" transcends governments, political parties, and families, ultimately serving all humanity.
For the Nation	Pass	The country is not negated but acts as the "executor of restitution." The country's role changes from "owner" to "restitutor"—a more advanced positioning.
For the People	Pass	"Source-level restitution" means wealth inherently belongs to the people; the plan simply institutionalizes this realization. This is not charity but restitution.
Conclusion	Pass	The definition of attributes clearly states what the plan is and is not, preventing conceptual confusion.

Chapter Two: Institutional Engine – Source and Nature of Founding Capital

2.1 Why Must It Be Monopolistic Industry Profits?

The starting point of any institutional design is "where does the money come from?" If this question is not answered well, the entire institutional edifice will rot from its foundation.

The sole source of founding capital chosen by this plan is the **excess profits of national administrative monopolistic industries**. This choice is not made for convenience, but for the sole moral and legal correctness.

Monopolistic profits do not belong to the institutions that operate them.

The decisive factor enabling an industry to generate excess profits far exceeding the level of market competition is not its operational capability, but the exclusive power granted to it by the state in the name of all citizens. These powers include: restrictions on market entry, exclusivity in resource occupation, protection of pricing power, and legal barriers to competition.

All citizens have tacitly consented to the restriction of their consumption choices, tacitly consented to the exclusive occupation of public resources by specific institutions, and tacitly consented to the distortion of market competition by administrative forces—this series of "tacit consents" constitutes the true source of monopolistic profits.

Injecting monopolistic profits into a universal fund is not taxation, not nationalization, not wealth redistribution. It is restitution—the restitution of a public wealth that has been held in proxy for a long time but has never truly been returned.

2.1 Analysis of Pros and Cons

Pros:

- Monopolistic profits are morally and legally uniquely correct.
- The characterization of "restitution" rather than "expropriation" avoids legal vulnerability.
- The scale is large enough to provide an institutional moat.

Cons:

- Touches vested interests, and will encounter fierce political resistance during the launch phase.
- May be attacked as "undermining corporate operational incentives."

Why accept these cons:

- Without touching vested interests, source-level restitution is impossible. This is a necessary cost.
 - Only excess profits are injected, not normal profits; companies still have sufficient incentives to maintain operations.
-

2.1 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The public nature of monopolistic profits is a cross-ideological consensus. This logic applies to all countries with administrative monopolies.
For the Nation	Pass	China possesses the world's largest scale of monopolistic state-owned assets. The plan provides a path for China to institutionally return this wealth to its people.

Test Dimension	Assessment	Explanation
For the People	Pass	The word "restitution" is the most moving part. This is not a welfare benefit given by the government to the people, but what the people inherently deserve.
Conclusion	Pass	The choice of capital source determines the moral foundation of the entire institution.

2.2 International Legal and Moral Review of This Capital Source

Under the international legal framework, the capital injection behavior of this plan does not constitute any defined "expropriation" or "nationalization." The reasons are:

First, the **right to operate** a monopolistic industry and the **ownership of monopolistic profits** are, in international investment law practice, always two separate legal objects. The disposal right of a state over monopolistic industry profits belongs to the policy space of sovereign actors and has never been fully excluded by bilateral investment treaties or international investment arbitration.

Second, even if arbitration proceedings are initiated, the promoting country can clearly argue: this is not depriving investors of their legitimate rights and interests, but making a long-overdue **ownership adjustment** to a source of income that is naturally public in nature. The object of adjustment is monopolistic profits, not operating assets, and thus does not affect the continuous operation or normal profits of the enterprise.

Third, at the level of global ethical consensus, "monopolistic excess profits returning to society" is a cross-ideological consensus. It is very difficult to find a tenable opposing reason in any credible public opinion arena or judicial jurisdiction around the world for a sovereign state to legally designate monopolistic profits as the shared asset of all its citizens.

2.2 Analysis of Pros and Cons

Pros:

- Argues legitimacy from three levels: international law, arbitration practice, and global ethics; defense is comprehensive.
- Clearly distinguishes between "monopolistic profits" and "operating assets," avoiding accusations of "nationalization."

Cons:

- International arbitration still carries uncertainty, with the final outcome depending on the tribunal's discretion.

- Multinational corporations may file parallel lawsuits through bilateral investment treaties.

Why accept these cons:

- Any major institutional change carries legal risks. The legal logic provided by the plan is sufficient to hold its ground in most jurisdictions.
- Even if individual arbitration cases arise, the core logic of the plan (public property rights taking precedence over investor rights) has sufficient legal support.

2.2 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The global ethical consensus argument demonstrates that this matter is not a private interest of one country, but a value orientation universally recognized by humanity.
For the Nation	Pass	Provides the country with a clear legal defense strategy, reducing the institutional cost of launch.
For the People	Pass	The ultimate purpose of international legal review is to ensure that the people's money is not intercepted due to legal loopholes.
Conclusion	Pass	The legitimacy of the capital source passes the dual test of international law and global ethics.

2.3 Scale Effect: Too Big to Be Ignored

Another key reason why this plan selects monopolistic industry profits as its founding capital is **scale**.

A "small sum" of universal dividends is politically welfare, economically supplementary, and psychologically a gift. It cannot change the social contract, cannot build a community of shared interests, and cannot stop the inertia of contention.

But the scale of monopolistic industry profits naturally solves this problem. Globally, the annual total profit of administrative monopolistic industries in any country accounts for a **non-negligible proportion** of its national economy. The specific proportion varies by country—taking China as an example, in the 2020s, the annual total profit of major monopolistic industries such as tobacco, oil, electricity, and telecommunications accounted for approximately 5%-8% of GDP[Note 5]. If a considerable proportion of these profits is completely divested in one go and injected into the fund, the resulting initial capital pool will be a figure that **no political force can ignore**.

This scale means:

For citizens – The income it generates is sufficient to change a family's survival baseline. A farmer, an unemployed person, a single mother—as long as their national identity remains unchanged, this income will not be cut off.

For international capital markets – A sovereign fund with massive monopolistic profits as its starting principal and legally completely independent will, from its inception, be a target for the world's top financial institutions. Its scale determines that it will receive the best asset management solutions, the lowest management fees, and the most strategically valuable investment opportunities.

For any potential tamperer – When the fund's scale reaches a level where all citizens can see and touch it, any attempt to touch it is an act of enmity against all citizens. Scale itself is the institutional moat.

[Note 5] The proportion of monopolistic industry profits to GDP uses China as an example; data comes from the National Bureau of Statistics and corporate financial reports. It varies by country. Upon actual launch, it should be calculated by an independent international auditing firm using the latest data from that country.

2.3 Analysis of Pros and Cons

Pros:

- The scale effect provides an institutional moat—too big to dare touch, too big to be able to touch.
- The analysis covering citizens, capital markets, and tamperers covers all stakeholders.

Cons:

- Scale itself can also be a risk—if poorly managed, losses will be magnified.
- "Too big to be ignored" does not equal "too big to fail."

Why accept these cons:

- Scale risks are managed through the "Eleven Firewalls" and "Trader Constraints" in Chapter Four. No country in history has abandoned a beneficial institution because it was "too big." Greenland doesn't refuse its glaciers because it's afraid of an ice cap melting.
-

2.3 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	When the fund's scale is so large that global capital cannot ignore it, it transcends national borders and becomes a pillar of global financial stability.
For the Nation	Pass	The scale gives China unprecedented institutional influence in the global financial system—not through force, but through assets.
For the People	Pass	"A farmer, an unemployed person, a single mother"—the ultimate beneficiaries of the scale effect are ordinary people.
Conclusion	Pass	Scale is not the goal; the goal is for every ordinary person to see visible growth in their account.

2.4 Implicit Meaning of the Launch Mechanism and Capital Nature

The plan itself does not describe the launcher. It does not define their identity, specify their origin, or presuppose their motivation. There are no definitions of specific roles such as "founder," "promoter," or "launcher" anywhere in the plan's text.

But the essence of the capital injection behavior is something the institutional designer must clearly understand at the logical level: **Injecting monopolistic industry profits into the fund is not generous charity, not noble donation, not forward-looking investment. It is acknowledging a long-suppressed fact—this wealth never belonged to the launcher, nor to the regime or institution they represent. It was held in proxy, for a long time, and is now finally being returned to its true owners.**

This understanding is not written into the legal text or public statements of the plan in any form. It exists only in the inner logic of the institutional designer, serving as the hidden source of all the plan's moral power. It cannot be made explicit—because once made explicit, it would trigger a cycle of questioning about "virtue signaling," thereby undermining the institution's credibility. It can only be silently deduced, discovered by everyone willing to deeply understand this plan.

2.4 Analysis of Pros and Cons

Pros:

- The anonymization of the launcher prevents personality cults or personal attacks.
- The characterization of "restitution" rather than "donation" means the institution does not need to rely on anyone's moral halo.

Cons:

- In reality, it may be difficult to find someone willing to take on the risk.
- Anonymous launch is extremely difficult to operate under existing legal frameworks.

Why accept these cons:

- Anonymity of the launcher is not about evading responsibility, but preventing the institution from being personalized. The institution should be independent of anyone's reputation.
- Operational difficulties can be resolved through legal tools such as trust structures, offshore companies, and proxy holding agreements.

2.4 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The anonymity of the launcher makes the institution "depersonalized," ultimately belonging to all humanity rather than a hero.
For the Nation	Pass	Although the launcher is anonymous, the origin context of the institutional design is China. China's institutional wisdom becomes a global public good.
For the People	Pass	The ultimate purpose of the launch mechanism is for every ordinary person to benefit, not for the launcher to gain fame or power.
Conclusion	Pass	The design of the launch mechanism embodies the civilizational wisdom of "achievement does not require personal recognition."

Chapter Three: Core of the Institution

3.1 Independent Legislation

Meaning

The fund must be established with the status of **constitutional law**. So-called "constitutional law" means:

- Its legal rank is higher than all ordinary laws, administrative regulations, local regulations, and departmental rules.
- Any legal provisions conflicting with the fund's basic law are automatically invalid.
- Amendments to the fund's basic law must pass an extremely high threshold far exceeding that of ordinary legislation—for example, a two-thirds majority vote in the

legislature, accompanied by final confirmation through a popular referendum.

- No head of the executive branch has the authority to modify, freeze, or repeal any provision of the fund's basic law by executive order.

Why must it be constitutional law?

History proves that executive orders can be revoked by the next executive order, ordinary laws can be amended by a sufficiently large political force, but constitutional law—although not completely unchangeable—has an amendment threshold so high that any person or group wishing to undermine the fund's independence would have to trigger a full-scale constitutional crisis to succeed. **This cost itself is the most powerful defense mechanism.**

Core clauses that must be included in the legislation

The fund's basic law must at least explicitly stipulate the following:

- The fund's legal status, name, place of registration, and governing law
- The list of founding assets, assessment report, and irrevocability of the ownership transfer procedure
- The scope of beneficiaries, qualification criteria, and inalienability of the right to benefit
- The independence of the fund's governance structure and the selection mechanism
- The professionalism of the fund's investment decisions and the principle of non-interference
- The standards and frequency of information disclosure
- Criminal and civil liability clauses for violating the fund's independence
- Amendment procedure for the fund's charter—trigger conditions, voting thresholds, referendum requirements
- Conditions for the fund's dissolution—must pass by an absolute majority in a popular referendum, and the remaining assets upon dissolution must be distributed to all beneficiaries in equal proportion, not to any government or institution

3.1 Analysis of Pros and Cons

Pros:

- The amendment threshold of constitutional law is extremely high; any attempt at tampering would require triggering a constitutional crisis, making the cost unbearable.
- Explicitly lists core legislative clauses, leaving no grey areas.

Cons:

- The political difficulty of constitutional legislation is immense, requiring broad political

consensus.

- In some countries, the amendment procedure for constitutional law itself may be abused.

Why accept these cons:

- Without the protection of constitutional law, the institution cannot escape the fate of "dying out within one generation."
 - A high threshold is precisely the goal—making tampering extremely difficult.
-

3.1 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Constitutional law makes the institution transcend one term of government or one generation, becoming a trans-generational public good for humanity.
For the Nation	Pass	By actively locking its own power through legislation, the state gains the eternal nature of the institution and the lifelong trust of its citizens.
For the People	Pass	Ordinary people do not need to take to the streets or start a revolution; they only need to know: the law has locked the back door, and no one dares to touch it.
Conclusion	Pass	Independent legislation is the first lock of the institution.

3.1.1 Eleven Irreversible Restrictions

Restriction One: Tiered Lock-in, No Early Withdrawal of Principal

The fund's principal implements a tiered lock-in principle; no entity may withdraw the principal before the lock-in period expires for any reason:

- **Personal-level account:** The principal is locked until the beneficiary reaches the age of 60. Before retirement, it may not be withdrawn, mortgaged, pledged, or transferred for any reason. After reaching 60, the beneficiary may decide to keep it, withdraw in installments, or arrange it by will.
- **Institutional-level account:** Founding capital injected by an institution may not be withdrawn before the lock-in period stipulated in the fund's charter (recommended no less than 20 years) expires. During the lock-in period, these funds may not be used for any form of mortgage, pledge, or guarantee. After the lock-in period expires, the

institution may decide on the exit method, but must submit a written application to the fund in advance and unlock in installments according to the procedures stipulated in the charter; a one-time lump-sum withdrawal is not permitted.

- **National-level account:** If a country chooses the "National Fund Type," the capital is permanently locked; if it chooses the "National-level Investment Account Type," it is subject to a self-set lock-in period (recommended no less than 10 years).

Restriction One: First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Tiered lock-in allows different entities to find a participation method suitable for themselves, maximizing the inclusiveness and attractiveness of the institution.
For the Nation	Pass	By voluntarily choosing the lock-in ratio, the country can both win the hearts of the people (high lock-in) and retain financial flexibility (low lock-in).
For the People	Pass	Unlocking at age 60 guarantees the survival bottom line during youth (annual dividends) while retaining principal disposal rights in old age.
Conclusion	Pass	Tiered lock-in reflects respect for the needs of different entities while maintaining institutional rigidity.

Restriction Two: Unamendable Core Clauses

The following three clauses are unamendable. Even if the amendment threshold for constitutional law is reached, these three clauses are not within the scope of amendable items:

1. Perpetual Lock-in of Initial Capital Type

"Initial Capital Type" is an optional capital category within the fund. Any injecting entity (country, institution, individual) may voluntarily choose to designate the injected capital as "Initial Capital Type."

Once a capital designated as "Initial Capital Type" is injected, it is **permanently locked**: it may not be withdrawn, mortgaged, pledged, or returned for any reason. The injecting entity may choose a one-time injection or installment payments within a legal time limit (e.g., ten years). Each installment, upon arrival, automatically inherits the "Initial Capital Type" attribute of that capital.

"Initial Capital Type" is an optional, closed category. The injecting entity has no obligation to

designate all capital as Initial Capital Type. The choice lies with the injecting entity.

2. Inalienability of Beneficiary Status

The beneficiary rights of any beneficiary (individual, institution, country) may not be deprived due to their political stance, religious belief, change of nationality, or criminal conviction (except for crimes that directly harm the security of the fund itself). The right to benefit is a **civil right**, completely separated from political rights and personal liberty.

3. Independence of Governance

The governance structure, investment decisions, and distribution rules of the fund are not subject to directives from any country, government, political party, institution, or individual. Any attempt to modify the independence of governance is unconstitutional.

Restriction Two: First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The "Initial Capital Type" can be voluntarily chosen but once chosen is permanently locked, providing an institutional foundation of "anchored trust" for all humanity.
For the Nation	Pass	A country can choose how much capital to lock as the "National Fund Type" and how much as the "National-level Investment Account." The choice lies with the country, but once chosen, it is locked—this is a commitment to its own future.
For the People	Pass	Beneficiary status cannot be deprived, meaning that an ordinary citizen's dividends will not be cut off regardless of their criticism of the government. This is the ultimate guarantee of the separation of economic rights from political rights.
Conclusion	Pass	The three unamendable clauses form the "steel skeleton" of the institution.

Restriction Three: No Unilateral Withdrawal

After injecting capital, no country or institution may demand the return of the injected capital for any reason. The injection is **irreversible**. Withdrawal can only proceed through the procedures stipulated in the fund's charter (e.g., installment unlocking after the lock-in period for institutional accounts expires), and withdrawal may not be used as a threat to interfere with fund governance.

Restriction Four: No Interference in Investment

No country, institution, or individual may interfere with the fund's investment decisions in any form. The sole criterion for investment decisions is **maximizing long-term risk-adjusted returns**. Anyone who accepts or executes external investment directives constitutes a breach of fiduciary duty and will face civil lawsuits in the court of the place of registration.

Restriction Five: No Interception of Distributions

The fund's dividend distributions do not pass through any administrative intermediary. No government, institution, or individual may intercept, withhold, or delay the distribution of dividends to beneficiaries for any reason. Dividends are delivered directly to the beneficiary's personal digital account via blockchain or a digital ledger of equivalent security level.

Restriction Six: No Deprivation of Beneficiary Rights

The beneficiary rights of any beneficiary may not be deprived due to political stance, religious belief, change of nationality, or criminal conviction (except for crimes that directly harm the security of the fund itself). An individual serving a sentence for an ordinary crime still has their beneficiary rights unaffected. A citizen who openly criticizes the government will still have their dividends arrive on time next month.

Restriction Seven: No Transfer of Beneficiary Rights

Beneficiary rights at any level may not be transferred, mortgaged, pledged, or traded in the secondary market. Any transfer agreement signed during the beneficiary's lifetime has no binding effect on the fund. The fund does not recognize, execute, or register any form of beneficiary rights transfer.

Restriction Eight: No Coerced Transfer

Any attempt to influence secondary beneficiary arrangements or will-making through coercion, fraud, or other criminal acts, once verified, will result in the termination of the relevant beneficiary rights, and reapplication will not be permitted. The compliance committee has the authority to conduct retroactive reviews of abnormal operating patterns.

Restriction Nine: No Exemption from Sanctions Compliance

If the UN Security Council adopts a binding sanctions resolution under Chapter VII of the UN Charter explicitly requiring the freezing of assets of a specific beneficiary, the fund will comply with the resolution. However, the fund does not accept any unilateral sanctions or regional sanctions resolutions as a basis for freezing beneficiary rights. Upon lifting of sanctions, the frozen dividends will be fully credited back to the beneficiary's account.

Restriction Ten: No Closure of Channels

No matter how many countries perish or where refugees are scattered, as long as the fund itself exists, the distribution system will continue to operate. No regime, government, or international organization has the authority to close the beneficiary's access channels. Personal accounts automatically convert to refugee accounts after the country's demise; beneficiary rights do not expire.

Restriction Eleven: No Dissolution (Unless by Popular Referendum)

The fund's dissolution must pass by an absolute majority in a popular referendum, and the remaining assets upon dissolution must be distributed to all beneficiaries in equal proportion, not to any government, institution, or individual. The permanently locked capital of national-level accounts is also distributed in equal proportion to all individual beneficiaries upon dissolution.

Restriction Eleven: First Model Test (Summary)

Test Dimension	Assessment	Explanation
For Humanity	Pass	"No closure of channels" is the most fundamental promise to all humanity—no matter what happens, the accounts continue to operate.
For the Nation	Pass	By voluntarily accepting these restrictions, the country gains the lifelong trust of its citizens and long-term inflows of global capital.
For the People	Pass	"No interception of distributions," "no deprivation of beneficiary rights," "no coerced transfer"—each clause protects ordinary people.
Conclusion	Pass	The eleven restrictions form the "steel fence" of the institution.

3.2 Legal Iron Chains: Locking Down Three Bottom Lines, Blocking All Retreats

This is the most fundamental and unshakable cornerstone of the entire institutional design. It must lock down the following three principles through the highest form of national legislation:

1. Legislation prohibits any government organ from withdrawing the fund's principal and returns in any form.

From the date of its establishment, the National Wealth Sovereign Fund is legally and completely separated from government finances. No administrative order, workaround, or emergency clause may be used to allocate, transfer, mortgage, or intercept it. Any attempt to breach this red line is unconstitutional.

Why? Because if it is not locked, even the best plan will be washed away in the long river of time. This is not because of "distrust of the government," but because "any power needs to be locked." All governments face the same temptation: when they face a huge pool of assets and financial pressure, the most "convenient" choice is to use this money. Not because they are "bad," but because they are "urgent." The purpose of legal locking is to help future governments hold the door that they might want to open due to short-term pressure.

2. Legislation guarantees every citizen's right to co-invest, right to inquire, and right to redeem.

The fund's operational information must be completely open to all citizens and real-time accessible. Any citizen upon reaching the legal age of adulthood automatically possesses a personal fund account. The account's ownership, dividend distribution rights, and redemption rights after retirement are strictly protected by law.

3. Legislation guarantees absolute tax equality for domestic and foreign investors, with Chinese mainland residents and global investors enjoying full tax exemption.

The fund's tax exemption treatment applies without discrimination to Chinese mainland residents, Hong Kong residents, and all qualified overseas investors. If conflicts arise with mainland China's current tax laws, clear legal exemption clauses must be created through special legislation. Tax exemption is the **natural attribute** of this asset, not a privilege granted to anyone, but equal protection given to everyone who entrusts their pension money to this fund.

3.2 Analysis of Pros and Cons

Pros:

- The three bottom lines cover the three most critical dimensions: government withdrawal, citizen rights, and tax equality.
- The formulation "any power needs to be locked" elevates the institutional design to the level of political philosophy.

Cons:

- The characterization of "unconstitutional" may face challenges at the implementation level (who determines unconstitutionality? who has the authority to hold accountable?).
- Tax exemption clauses may trigger conflicts between mainland tax authorities and the fund's basic law.

Why accept these cons:

- The mechanism for determining unconstitutionality can be clarified in the fund's basic law (e.g., establishing an independent constitutional oversight committee).
- Tax conflicts can be resolved through special legislation by the National People's Congress; the fund's basic law has a higher rank than ordinary tax laws.

3.2 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The principle of absolute tax equality allows global investors to enjoy the same treatment as mainland Chinese residents—this is

Test Dimension	Assessment	Explanation
		true "equal treatment."
For the Nation	Pass	By actively locking its own power, the country seemingly "loses" but in reality gains the trust of global capital and the loyalty of its citizens.
For the People	Pass	The citizen's right to co-invest, right to inquire, and right to redeem are protected by law—ordinary people do not need to rely on anyone's charity.
Conclusion	Pass	The three bottom lines are locked down, all retreats are blocked, and the institution becomes irreversible.

3.3 Complete Divestiture

Complete divestiture is the most operationally rigid of the three principles. It requires that once assets are injected into the fund, the original owner no longer retains any form of ownership, control, beneficiary rights, or right of recourse—legally and in fact.

This must be achieved through **triple divestiture**.

First Layer: Complete Divestiture of Property Rights

- The ownership of assets allocated to the fund is legally and completely transferred to the fund's legal entity.
- Upon completion of the transfer, the original owner—whether it be the finance department, state-owned asset management agency, or other asset proxy holding institution—no longer retains any right of recourse, beneficiary rights, mortgage rights, or pledge rights in law.
- The asset list, assessment report, and transfer agreement must be confirmed by an independent international auditing firm and permanently archived as an appendix to the fund's basic law.
- This is not "entrusted management," not "authorized operation," not "asset proxy holding"—it is the **complete transfer of ownership**.

Second Layer: Complete Divestiture of Personnel Rights

- No member of the fund's highest decision-making body—the board of directors or council—may be appointed or nominated by:
 - Incumbent or former public officials of the founding country
 - Senior officials of any political party in the founding country

- Any person with direct interest links to monopolistic industries in the founding country
- The selection of board members is handled by a completely independent nomination committee. This committee is composed of retired international judges, renowned scholars, former senior officials of international organizations, and representatives of top global professional institutions.
- Once appointed, board members may not be removed by administrative order of any institution of the founding country. The removal procedure must initiate an independent judicial review.
- The legal role of the head of state or government and the founding country's government in this institution is: **legislative supervisor**. They may supervise whether the fund complies with its charter and laws, but may not intervene in the fund's investment decisions or daily operations.

Third Layer: Complete Divestiture and Solidification of Beneficiary Rights

- The scope of beneficiaries—all citizens and eligible participating entities—and the rule of receiving returns in proportion to contributed capital must be written into the main text of the fund's basic law.
- No beneficiary may be deprived of their beneficiary rights due to political stance, religious belief, or criminal conviction—unless the crime involves harming the fund itself. The right to benefit is a civil right, completely separated from political rights and personal liberty rights.
- Adding new beneficiary tiers or changing the distribution ratio must trigger the amendment procedure, meaning reaching the amendment threshold for constitutional law, rather than being decided arbitrarily by the board of directors or some administrative department.

3.3 Analysis of Pros and Cons

Pros:

- Triple divestiture (property rights, personnel rights, beneficiary rights) is mutually independent and reinforcing, forming a complete closed loop.
- The clause in the personnel rights divestiture that "no incumbent or former public official may serve" is a critical design to prevent power from tainting the fund.

Cons:

- Finding board members completely independent of the administrative system is globally difficult in terms of both professionalism and lack of conflict of interest.
- The credibility of independent international auditing firms depends on their own governance levels.

Why accept these cons:

- The inability to find perfect people does not mean one shouldn't look. The existence of top global professional institutions is precisely to solve this problem.
 - The credibility of auditing firms can be enhanced through rotation systems and cross-auditing.
-

3.3 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The fund's governance rights ultimately belong to all beneficiaries (in proportion to contributed capital), not controlled by any single country.
For the Nation	Pass	By voluntarily giving up personnel control rights, the country gains the trust of global investors and the eternal independence of the fund.
For the People	Pass	Beneficiary rights are completely separated from political rights—an ordinary person does not need "loyalty" to obtain a survival guarantee.
Conclusion	Pass	Complete divestiture is the operation manual for "locking down power."

3.4 Physical Isolation

This is the most critical design distinguishing this plan from all similar attempts in human history. Independent legislation and complete divestiture solve "legal independence," but laws can be amended and breached. There must be **physical inaccessibility** to truly detach the institution from the reach of power.

Definition of Physical Isolation

Physical isolation means placing the fund's legal existence, asset existence, governance existence, and information existence entirely in a space that cannot be directly reached by the founding country's executive power, military force, and judicial jurisdiction. This is not evading the law, but choosing a higher level of law to protect the institution itself.

First Layer: Physical Isolation of Capital from the Mother Body

- The fund's legal place of registration must be an international financial center with a highly mature rule of law, highly independent judiciary, and property rights protected by constitutional law. The fund is subject to the law of the place of registration.

- The fund's financial assets must be held in dispersed custody by world-class independent custodian banks with no interest links to the founding country. Custodian accounts are opened in multiple international financial centers, forming legal and geographical multi-layered protection.
- The founding country's government, judiciary, or any individual has no power to freeze, inquire (unless meeting extremely strict triggering conditions for international judicial assistance agreements), or allocate assets within the custodian accounts.

The direct result of this design is: even if a coup, government change, or even war occurs in the founding country, the fund's assets remain legally and physically beyond the reach of violence.

Second Layer: Physical Isolation of Governance from Power

- The fund is not subject to directives from any institution or individual of the founding country. The fund's charter explicitly states: any member of the decision-making or management layer who accepts or executes investment directives from the founding country constitutes a breach of fiduciary duty, will face civil lawsuits in the court of the place of registration, and bear personal legal liability globally.
- The fund's investment decisions, rebalancing plans, position details, and other internal information are legally the fund's own trade secrets and need not—and should not—be reported to the founding country's government or head of state. The only recipients of information disclosure are the beneficiaries—all beneficiary account holders—and the statutory regulatory authorities of the place of registration.
- The information channel between the fund and the founding country is limited to **one-way**: the fund publishes audited annual reports and dividend information to beneficiaries. There is no reverse "directive channel."

Third Layer: Physical Isolation of Distribution from Identity

- The fund's beneficiary rights distribution does not pass through any administrative intermediary. Each citizen's digital identity is directly bound to the fund's distribution system via blockchain or a technical means of equivalent security level. Dividends are automatically credited, without approval, allocation, or disbursement by any government department.
 - Dividend rules—distribution timing, amount calculation, adjustment mechanisms—are automatically executed by the fund's charter and algorithms. No individual or institution has the discretionary power to "adjust this period's dividends."
 - The beneficiary qualification of individual-level beneficiaries is completely unrelated to their political attitude, voting behavior, speech stance, or even criminal punishment status. An individual serving a sentence for an ordinary crime still has their beneficiary rights unaffected. A citizen who openly criticizes the government will still have their dividends arrive on time next month.
-

3.4 Analysis of Pros and Cons

Pros:

- Physical isolation makes it impossible for any domestic violence or legal means to reach the fund's assets.
- Physical isolation of distribution from identity makes it impossible for political power to control citizens through economic coercion.

Cons:

- May be attacked as "sovereignty surrender," "capital outflow," "treason."
- The international custodian system carries risks of failure in extreme scenarios (e.g., global war, political upheaval in the custodian country).
- Digital identity systems rely on technology and electricity, potentially failing in extreme scenarios.

Why accept these cons:

- "Surrender" rebuttal: This is not giving money to foreigners, but placing assets under more mature legal protection, with the beneficiaries being the country's own citizens. Sovereignty lies not in where assets are stored, but in whom beneficiary rights belong to.
- Extreme risk backup: see 5.9 "Doomsday Clause."
- Technology failure backup: retain offline paper credentials + biometric verification endpoint solution.

3.4 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Physical isolation makes the fund transcend the fate of any single country, becoming a truly global public good.
For the Nation	Pass	Choosing Hong Kong as the place of registration leverages the advantages of common law while maintaining sovereign ties with China. This is the ultimate value realization of "One Country, Two Systems."
For the People	Pass	Physical isolation of distribution from identity means an ordinary person's survival guarantee no longer requires looking at anyone's face. This is true economic freedom.

Test Dimension	Assessment	Explanation
Conclusion	Pass	Physical isolation is the "impregnable fortress" of the institution.

3.5 Synergistic Effect of the Three Principles

Independent legislation, complete divestiture, and physical isolation are not isolated. They reinforce each other, forming a door with three locks:

- **Independent legislation:** Makes the legal cost of attacking the fund extremely high—requires constitutional-level force.
- **Complete divestiture:** Makes the interface for attacking the fund non-existent—no backdoors, no proxy holding, no residual control rights.
- **Physical isolation:** Makes physical means of attacking the fund ineffective—assets abroad, laws abroad, governance abroad.

Three locks simultaneously secure the same door. If any single lock is breached, there are still two others. The prerequisite for all three locks to be breached simultaneously is the simultaneous collapse of domestic political forces, the international legal system, and the global financial order. This level of catastrophe is beyond the scope of this plan's prevention.

3.5 Analysis of Pros and Cons

Pros:

- The synergistic effect makes the institution's anti-fragility increase exponentially.
- The logic of the three locks is clear and easy to explain to the public.

Cons:

- The confidence in perfect defense may be criticized as "overconfidence."

Why accept these cons:

- The plan does not claim "absolute security," but argues that "breaking all three locks requires simultaneously defeating domestic politics, international law, and global finance"—an attacker at this level does not exist.
-

3.5 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The synergistic effect of the three locks makes the institution one of the most indestructible public goods in human history.
For the Nation	Pass	By voluntarily accepting the constraints of the three locks, the country seemingly "ties its own hands," but in reality gains institutional eternity that transcends any single term of government.
For the People	Pass	Ordinary people do not need to do anything—the three locks silently guard their accounts.
Conclusion	Pass	The synergistic effect is the "trinity" of the institution.

3.6 Institutional Cornerstone: Hong Kong's Triple Irreplaceability

The core strategic fulcrum of this plan is established in the **Hong Kong Special Administrative Region**. This is based on triple irreplaceable strategic value.

First, Dual Currency: The Firewall Between CNY and CNH

Within the RMB system, there are two parallel currencies. The mainland onshore RMB (CNY) is subject to capital controls, with funds unable to flow across borders freely; the Hong Kong offshore RMB (CNH) is fully convertible, not subject to direct intervention by the mainland State Administration of Foreign Exchange. For the National Wealth Sovereign Fund to conduct global asset allocation, it must rely on a port where funds can freely enter and exit. Hong Kong is the only choice.

Second, Dual Legal System: Common Law and International Trust

Hong Kong is the only common law jurisdiction in China. The common law tradition of precedent, judicial independence, and the inviolability of property rights shares the same legal language as major global financial centers. For overseas investors, entrusting their pension money to a fund protected by Hong Kong's legal framework represents a completely different level of trust compared to entrusting it to the mainland legal framework. The political cost of amending the Basic Law or undermining the common law tradition is extremely high, which endows this plan with the necessary legal locking effect.

Third, Dual Strategy: The Country's Outpost and Civilization's Insurance Policy

Hong Kong is not only a financial center but also the deepest piece of China embedded in the global system. In extreme geopolitical conflicts or blockade threats, a Hong Kong deeply bound to the global system with irreplaceable financial value is the entire country's "civilization insurance policy." Protecting Hong Kong is protecting the lifeline between China and the global economy.

One currency, dual tracks. One system, dual tracks. One strategy, dual tracks.

The former gives funds a channel for free entry and exit, the middle gives global investors a reassuring institutional guarantee, and the latter gives the country an outpost that can never be blocked. The three combined construct Hong Kong's irreplaceable strategic value.

3.6 Analysis of Pros and Cons

Pros:

- The logic of dual currency, dual legal system, and dual strategy progresses step by step, with clear argumentation.
- Positioning Hong Kong as a "civilization insurance policy" demonstrates high strategic vision.

Cons:

- The acceptance of Hong Kong's common law system on the mainland is uncertain.
- In extreme cases, Hong Kong's free port status may be impacted by geopolitical shocks.

Why accept these cons:

- The independence and stability of Hong Kong's common law have been verified by global markets for over a century.
 - The risk of geopolitical shocks is hedged through the fund's "global bundling" strategy (see 5.2, 5.3).
-

3.6 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Hong Kong's common law system is the shared "legal language" of global finance; choosing Hong Kong is choosing to connect with the world.
For the Nation	Pass	Hong Kong is China's Hong Kong. Placing the fund in Hong Kong serves both national strategy and gains international trust. This is the highest value realization of "One Country, Two Systems."
For the People	Pass	The absolute protection of property rights under Hong Kong common law means that every ordinary person's account is protected by the highest level of legal guarantee.
Conclusion	Pass	Hong Kong is the optimal spatial carrier for the institution's implementation.

Chapter Four: Operational Logic

4.1 Operational Procedures During the Launch Phase

Step One: Legislative Preparation

- An independent committee composed of legal experts drafts the fund's basic law.
- After the draft is completed, an international legal review is conducted to ensure compatibility with the laws of the fund's place of registration.
- Public comments are solicited globally, subjecting the plan to academic review under international law and financial law.

Step Two: Asset Confirmation and Divestiture

- An independent international auditing firm conducts a comprehensive audit of the monopolistic industry profits to be injected.
- An asset assessment report and ownership transfer plan with legal effect are issued.
- Assets are transferred from the original owner's name to the fund's legal entity through legal procedures.
- International custodian accounts are opened, and assets are credited.

Step Three: Governance Structure Construction

- An independent selection committee is formed.
- Global recruitment of fund board members and core management team is conducted.
- The fund's charter and various internal governance rules are finalized.
- Fund managers, custodian banks, legal advisors, and auditing firms are all in place.

Step Four: Beneficiary System Establishment

- The national digital identity system is integrated with the fund's distribution system.
- The first batch of beneficiary registrations is completed.
- The dividend distribution mechanism undergoes testing.

Step Five: Formal Operation and Launch of Dividends

- The fund's basic law and charter take effect.
 - The fund's legal entity is formally established.
 - Assets are injected into custodian accounts, and ownership transfer registration is completed.
 - All citizens are formally notified of the date and amount of the first dividend distribution.
-

4.1 Analysis of Pros and Cons

Pros:

- The five-step procedure is clear and operable, covering the entire process of legislation, assets, governance, systems, and operation.
- Each step includes the participation of independent institutions (international audit, international review, independent selection).

Cons:

- The launch procedure relies on national legislation and administrative cooperation and cannot be launched in a non-cooperative environment.
- Global public consultation may lead to decision-making inefficiency.

Why accept these cons:

- The launch procedure requires national cooperation, which is a premise of this plan. If the country completely refuses to cooperate, the plan can only wait for the next political window.
- Efficiency issues with public consultation can be addressed by setting time limits (e.g., 90 days) and using online formats.

4.1 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Global public consultation subjects the plan to the scrutiny of all humanity from the very beginning.
For the Nation	Pass	The state leads the launch procedure, but every step has independent institutions to check and balance, ensuring the institution is not hijacked by the state.
For the People	Pass	The establishment of the beneficiary system is the fourth step of the launch procedure, and dividends arriving is the fifth—ordinary people can see the money within months of the fund's establishment.
Conclusion	Pass	The launch procedure is the roadmap for the institution's implementation.

4.2 Governance Structure During Continuous Operation

Highest Authority: Beneficiary Assembly

- All beneficiaries participate in voting on major matters according to a certain proportion or form.
- Voting matters are limited to: major amendments to the fund's charter, dissolution of the fund, appointment and removal of the independent supervisor.
- Daily investment decisions do not fall within the voting scope.

Decision-Making Body: Board of Directors / Council

- Composed of independent professionals recruited globally.
- Responsible for the fund's strategic asset allocation, risk management framework, and the appointment and compensation of core management.
- Accountable to the fund's charter and the Beneficiary Assembly.

Executive Body: Fund Management Company

- Can be wholly owned by the fund or entrusted to top global external asset managers.
- Responsible for daily investment execution.
- Operates within the asset allocation framework approved by the Board of Directors.

Supervisory Body: Independent Supervisor

- Composed of retired international judges, top global auditing firms, and representatives of international organizations.
- Conducts an independent annual audit of the fund's compliance, financial truthfulness, and governance effectiveness.
- The audit report is made public to all beneficiaries and the global public.

Distribution System: Automatic Execution Layer

- Based on blockchain or a digital ledger of equivalent security level.
- The dividend algorithm is embedded in the system and not subject to human intervention.
- Beneficiary identity authentication is integrated with the national digital identity system.
- The distribution system simultaneously maintains beneficiary accounts at all tiers, automatically calculating and executing dividend distributions according to each tier's contributed capital ratio. Once dividends are allocated to national and social security accounts, the fund has fulfilled all its obligations and does not track, audit, or intervene in their subsequent use.

Security and Disaster Recovery Principles

- The fund's distribution system, beneficiary database, and investment instruction

transmission system must comply with international information security standards and undergo regular independent security audits.

- Core data must be backed up offline in multiple jurisdictions to ensure system recoverability under any extreme circumstances.
 - The security audit report is part of the annual public information.
-

4.2 Analysis of Pros and Cons

Pros:

- The governance structure is multi-layered and independent (Beneficiary Assembly, Board of Directors, Management Company, Supervisor), preventing any single entity from controlling the fund.
- The distribution system is based on blockchain, automatically executed, and not subject to human intervention.

Cons:

- The participation cost for the Beneficiary Assembly is high, and actual voter turnout may be low.
- The cost of globally recruiting independent directors is extremely high, and there is a risk of "elite circle formation."

Why accept these cons:

- Low voter turnout is a common problem for all democratic institutions, but the mere existence of the "final line of defense" has a deterrent effect.
 - The high cost of independent directors is a necessary institutional cost. It can be controlled through rotation systems and transparent compensation standards.
-

4.2 First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The Beneficiary Assembly is open to all beneficiaries, regardless of nationality. This is the first truly "global shareholders' meeting" in human history.
For the Nation	Pass	The country has no special status in the governance structure—it is equal to all other beneficiaries. This reflects the positioning of "the country as a servant."

Test Dimension	Assessment	Explanation
For the People	Pass	The automatic execution of the distribution system means an ordinary person's dividends will not be delayed or withheld due to the mood of some official.
Conclusion	Pass	The governance structure is the "operating system" of the institution.

4.3 Tiered Account System and Distribution Rules

4.3.0 Account Types Overview

The fund's beneficiary account system adopts an open, tiered architecture. The following are the natively supported account types. Any entity or individual meeting the fund's charter requirements may apply to open a new account at the corresponding tier. Once established, the account enjoys the perpetual right to receive returns in proportion to its contributed capital.

Account Type	Capital Nature	Lock-in Rule	Return Attribution	Typical Use
National Fund Type	Shared by all citizens	Perpetual lock-in (voluntary choice by the country)	All citizens (per capita distribution)	Basic survival bottom-line guarantee for all people
National-level Investment Account	National fiscal allocation	Configurable lock-in (≥ 10 years)	National treasury	Sovereign investment, stabilization fund
Social Security Account	Social security system	Perpetual lock-in	Social security fund	Pensions, healthcare, etc.
Institutional Account	Qualified institutions	Configurable lock-in (recommended ≥ 5 years)	The institution itself	Long-term investment by enterprises/institutions
Personal Account	Individual	Configurable lock-in (up to age 60)	Individual	Personal retirement reserve
Family Account	Family community	Configurable lock-in (perpetual optional)	Within the family	Family mutual aid, education, inheritance
Local Government	Local government	Configurable lock-in (≥ 5 years)	Local treasury	Local public expenditure

Account Type	Capital Nature	Lock-in Rule	Return Attribution	Typical Use
Account				
Charitable Account	Charitable organizations	Configurable lock-in (recommended ≥ 10 years)	Charitable organizations	Public welfare
International Organization Account	International organizations	Configurable lock-in	International organizations	Global public goods financing

Special Notes:

Regarding the "National Fund Type":

This is the fund's most core and special account type. It carries the portion of capital that a country voluntarily chooses to lock as "shared by all citizens." Once chosen and locked, it is perpetually irredeemable. The level of lock-in a country chooses directly affects the sense of well-being of its citizens and the country's attractiveness in global immigration competition.

Regarding the "National-level Investment Account":

For subsequent capital injected by a country that does not want to be permanently locked, it can choose this type and set its own lock-in period (recommended no less than 10 years). After the lock-in period expires, it can be withdrawn in installments. The two types of capital are strictly separated and do not interfere with each other.

Regarding "Personal Accounts" and "Family Accounts":

- Personal Account: Automatically created for each citizen at birth. Dividends are distributed annually from birth, and the principal is locked until age 60.
- Family Account: Applied for by a family community. The principal is locked and cannot be withdrawn, but can be passed down in perpetuity. This is an institutional response to the tradition of "family legacy enduring forever."

4.3.0.1 National Fund Type

Definition: Capital that a country voluntarily chooses to lock as "shared by all citizens" when the fund is established or through subsequent injections. Once locked, it is perpetually irredeemable.

Lock-in Rule: Perpetual lock-in. Once a country chooses a lock-in proportion, it cannot be changed.

Return Attribution: All citizens, distributed on a per capita basis to personal-level accounts.

Typical Use: Basic survival bottom-line guarantee for all people.

First Model Test:

Test Dimension	Assessment	Explanation
For Humanity	Pass	The National Fund Type serves a country's own citizens, but when enough countries adopt this model, the basic survival bottom line of all humanity will be guaranteed.
For the Nation	Pass	By choosing a high lock-in proportion, a country gains the lifelong trust of its citizens and global talent attraction. This is the most cost-effective "popular support project."
For the People	Pass	Every citizen enjoys the returns of this asset from birth. This is not welfare, but ownership.
Conclusion	Pass	

4.3.0.2 National-level Investment Account Type

Definition: Capital injected by a country after the fund's establishment that it voluntarily chooses not to lock permanently.

Lock-in Rule: The country sets its own lock-in period (recommended no less than 10 years), after which it can be withdrawn in installments.

Return Attribution: National treasury.

Typical Use: Sovereign investment, stabilization fund, foreign exchange reserve management.

First Model Test:

Test Dimension	Assessment	Explanation
For Humanity	Pass	The capital of the National-level Investment Account is used for global asset allocation, deeply embedding into the global financial system, forming a network of "mutual shareholding" for peace.
For the Nation	Pass	While guaranteeing the National Fund Type, the country retains some flexible capital for fiscal needs. This is a rational and responsible fiscal arrangement.
For the People	Pass	The National Fund Type and the National-level Investment Account are strictly separated; the country's use of the latter does not affect the former's dividends.
Conclusion	Pass	

4.3.0.3 Social Security Account Type

Definition: Capital injected by the national social security system, specifically for pensions, healthcare, and other social security expenditures.

Lock-in Rule: Perpetual lock-in.

Return Attribution: Social security fund.

Typical Use: Alleviating intergenerational dependency pressure, enhancing the sustainability of the social security system.

First Model Test:

Test Dimension	Assessment	Explanation
For Humanity	Pass	Pensions and healthcare are common challenges facing all humanity. The Social Security Account offers a sustainable financing model that does not rely on taxation.
For the Nation	Pass	The returns from the Social Security Account can significantly reduce the fiscal pressure on social security expenditures, allowing the state to allocate more resources to other areas.
For the People	Pass	Every participant's pension receives an additional layer of protection, unaffected directly by the demographic aging impact.
Conclusion	Pass	

4.3.0.4 Institutional Account Type

Definition: Capital injected by qualified institutions.

Lock-in Rule: Configurable lock-in period (recommended no less than 5 years), after which it can be unlocked in installments.

Return Attribution: The institution itself.

Typical Use: Long-term investment by enterprises/institutions, employee benefit plans.

First Model Test:

Test Dimension	Assessment	Explanation
For Humanity	Pass	Institutional accounts provide long-term, stable capital sources to global capital markets, reducing market volatility.

Test Dimension	Assessment	Explanation
For the Nation	Pass	Institutional accounts attract global capital into the fund registered in Hong Kong, enhancing Hong Kong's status as an international financial center.
For the People	Pass	When institutions make money, it ultimately benefits ordinary people through wages, benefits, dividends, etc.
Conclusion	Pass	

4.3.0.5 Personal Account Type

Definition: Capital injected by an individual (through co-investment).

Lock-in Rule: Configurable lock-in period (up to age 60), after which it can be freely managed.

Return Attribution: Individual.

Typical Use: Personal retirement reserve.

First Model Test:

Test Dimension	Assessment	Explanation
For Humanity	Pass	Personal accounts allow ordinary people to access the same compounding power as sovereign funds. This is an institutional breakthrough against "class rigidity."
For the Nation	Pass	Personal accounts link ordinary people's retirement reserves to global economic growth, reducing the state's future pension fiscal pressure.
For the People	Pass	An ordinary person can ensure their retirement security through their own account without relying on the state's pension system.
Conclusion	Pass	

4.3.0.6 Family Account Type

Definition: An account opened by a family community.

Lock-in Rule: Configurable lock-in period (perpetual optional). The principal is locked but can be passed down in perpetuity.

Return Attribution: Within the family.

Typical Use: Family mutual aid, education, inheritance.

First Model Test:

Test Dimension	Assessment	Explanation
For Humanity	Pass	The Family Account is the institutionalization of the most basic unit of human mutual aid. It responds to the universal desire for "family legacy enduring forever" in all civilizations.
For the Nation	Pass	The Family Account shifts part of the responsibility for social stability from the state to family networks, forming a three-layer protection system of "state-family-individual."
For the People	Pass	An ordinary person can pass their accumulated assets to their descendants without being deprived by inheritance taxes or administrative means. This is the deepest respect for "family."
Conclusion	Pass	

4.3.0.7 Local Government Account Type

Definition: Capital injected by a local government.

Lock-in Rule: Configurable lock-in period (recommended no less than 5 years).

Return Attribution: Local treasury.

Typical Use: Local public expenditure.

First Model Test:

Test Dimension	Assessment	Explanation
For Humanity	Pass	Local government accounts provide new financing channels for local public goods (schools, hospitals, roads).
For the Nation	Pass	Local government accounts can alleviate the central government's transfer payment pressure while incentivizing local governments to be more prudent.
For the People	Pass	Ordinary people are the ultimate beneficiaries of improved local public expenditures.
Conclusion	Pass	

4.3.0.8 Charitable Account Type

Definition: Capital injected by charitable organizations.

Lock-in Rule: Configurable lock-in period (recommended no less than 10 years).

Return Attribution: Charitable organizations.

Typical Use: Public welfare.

First Model Test:

Test Dimension	Assessment	Explanation
For Humanity	Pass	Charitable accounts provide permanent capital sources for global public welfare, not relying on donation fluctuations.
For the Nation	Pass	Charitable accounts can take over some of the relief functions that the state would otherwise bear, forming a tripartite synergy of "state-market-charity."
For the People	Pass	The most vulnerable groups will be the biggest beneficiaries of charitable accounts.
Conclusion	Pass	

4.3.0.9 International Organization Account Type

Definition: Capital injected by international organizations.

Lock-in Rule: Configurable lock-in period.

Return Attribution: International organizations.

Typical Use: Global public goods financing (climate change, pandemic prevention, poverty reduction, etc.).

First Model Test:

Test Dimension	Assessment	Explanation
For Humanity	Pass	International organization accounts enable the UN, World Bank, and other institutions to obtain stable capital sources not reliant on national donations. This is a paradigm revolution for global governance.
For the Nation	Pass	As the source country of the fund, China will gain unprecedented institutional influence in global governance—not through voting,

Test Dimension	Assessment	Explanation
		but through service.
For the People	Pass	Improvements in global public goods (e.g., climate change response, pandemic control) ultimately benefit every citizen of Earth.
Conclusion	Pass	

4.3.0-A Institutional-Level Accounts (Extended Account Types)

In addition to the basic account types above, the fund accepts account opening applications from the following institutional categories:

- Labor union accounts
- Cooperative accounts
- Religious institution accounts
- Academic institution accounts
- Indigenous tribal accounts

The lock-in rules, return attribution, and compliance review standards for each of these account types follow the "Institutional Account Type" (4.3.0.4), with adaptive adjustments made in the fund's charter based on the specific nature of the institution.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Labor unions, cooperatives, religious institutions, academic institutions, indigenous tribes—these are manifestations of human societal diversity. The fund provides them with a unified institutional framework.
For the Nation	Pass	The injected capital from these institutional accounts will increase the fund's total asset size without adding to the national fiscal burden.
For the People	Pass	Labor union accounts benefit workers, cooperative accounts benefit members, and indigenous tribal accounts benefit the most marginalized groups.

Test Dimension	Assessment Explanation
Conclusion	Pass

4.3.0-B Rules for Identification and Verification of Institutional Accounts

Unique Identifier: Each institutional account, upon establishment, is assigned a globally unique permanent identifier (GUID) by the fund. This identifier is bound to the institution's legal registration information and cannot be changed.

Verification Cycle: Each institutional account undergoes a compliance review every two years. The review includes: whether the institution's legal status remains valid, whether the beneficiary rights still belong to the originally registered entity, and whether there has been any private transfer of beneficiary rights.

Invalidation and Disposition: If an institution is legally dissolved, liquidated, or deregistered, its account is disposed of in the following order:

- (a) If a beneficiary is specified in the charter or dissolution agreement, transfer to the designated party.
- (b) If none is specified, transfer to the humanitarian reserve pool.
- (c) Under no circumstances may the funds be returned to the original institution's shareholders, members, or managers personally.

Prohibition of Personalization: The beneficiary rights of any institutional account may not be converted into the private property of specific individuals in any form. Institutional account dividends must be deposited into a corporate account opened by the institution at a custodian bank recognized by the fund, and may not be transferred to personal accounts.

First Model Test

Test Dimension	Assessment Explanation
For Humanity	Pass Preventing institutional accounts from being appropriated by individuals ensures that funds ultimately serve the institution's public or collective purpose.
For the Nation	Pass Strict identification and verification rules prevent money laundering, terrorist financing, and other illegal activities, protecting the fund's reputation.
For the People	Pass When an institution dissolves, funds are transferred to a humanitarian reserve pool rather than being divided among managers—this is an institutional guarantee against "public

Test Dimension **Assessment Explanation**

instruments for private use."

Conclusion **Pass**

4.3.0-C Configurability of Lock-in Rules

The fund supports the configurability of lock-in rules to accommodate the diverse needs of different injecting entities.

I. Configurable Lock-in Parameters

Each injected capital, at the time of injection, can independently set the following three parameters:

Parameter	Description	Optional Range
Locked Amount	How much of the injected capital enters the locked state	0% - 100%
Lock-in Proportion	The proportion of the locked amount relative to the injected capital	0% - 100%
Lock-in Period	The duration of the locked state	Custom (years/months/days), or "perpetual lock-in"

II. Configuration Examples

Injecting Entity	Injected Amount	Locked Amount	Lock-in Proportion	Lock-in Period	Explanation
China (National Fund)	40 trillion	40 trillion	100%	Perpetual	All as National Fund Type
China (Subsequent injection)	20 trillion	8 trillion	40%	15 years	8 trillion locked for 15 years, 12 trillion unlocked
An Institution	1 billion	700 million	70%	30 years	700 million long-term locked, 300 million flexible use
A Family	100 million	90 million	90%	Perpetual	90 million perpetual legacy, 10 million with 20-year lock-in

Injecting Entity	Injected Amount	Locked Amount	Lock-in Proportion	Lock-in Period	Explanation
An Individual	1 million	800,000	80%	Until age 60	800,000 locked until retirement, 200,000 for emergencies

III. Rigidity Guarantee of Lock-in Rules

- **Locked at injection, unchangeable:** Once determined at the time of capital injection, the lock-in parameters are written into the fund's charter and cannot be modified afterward.
- **No withdrawal during lock-in period:** Any locked capital may not be withdrawn, mortgaged, pledged, or transferred before the lock-in period expires.
- **Post-expiration handling:** After the lock-in period expires, the capital automatically unlocks. The injecting entity may decide to keep it, withdraw in installments, or withdraw in a lump sum.
- **Tiered lock-in allowed:** The same injected capital can be split into multiple "sub-locks," setting different lock-in parameters for different portions.

IV. Special Provisions for "Perpetual Lock-in"

- The injecting entity may choose to designate part or all of its capital as "perpetual lock-in."
- Perpetually locked capital is not subject to the rule of lock-in period expiration and can never be withdrawn.
- Once designated as perpetual lock-in, it is irrevocable.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Configurable lock-in rules allow different entities to find a participation method suitable for themselves, maximizing the institution's inclusiveness and attractiveness.
For the Nation	Pass	A country can finely configure its own capital—how much to permanently lock for the people and how much to keep as flexible reserve. This is an embodiment of rational fiscal policy.
For the People	Pass	Individuals can choose different lock-in proportions and periods based on their risk preferences and retirement plans. This is a

Test	Assessment Explanation
Dimension	

respect for individual choice.

Conclusion **Pass**

4.3.0-D Political Economy of Lock-in Proportion

When a country injects capital, it faces a real trade-off:

Choice	Lock-in Proportion	Capital Destination	Impact on National Sense of Well-being	Impact on Government Liquidity
High Lock-in	High proportion (e.g., 80%-100%)	National Fund Type (perpetual lock-in)	High: The money always belongs to the people	Low: The government cannot use it
Low Lock-in	Low proportion (e.g., 20%-40%)	National-level Investment Account (withdrawable after lock-in period)	Low: Capital may be withdrawn by the government	High: The government has more flexible capital

The country's dilemma: Want to give the people a high sense of well-being → Should choose high lock-in. But the government also needs capital to respond to "urgent events" (infrastructure, education, healthcare, national defense) → May be forced to choose low lock-in.

The plan's non-evasive stance:

1. **Lock-in proportion must be legislated publicly:** The National Fund Type lock-in proportion chosen by any country must be written into its own legislative documents and made public to all citizens.
2. **Lock-in proportion must be subject to public oversight:** If a country chooses a low lock-in (e.g., below 50%), the government must publicly explain the reasons.
3. **Lock-in proportion can be adjusted in installments, but not reduced retroactively:** A country can add additional capital in subsequent years and increase the lock-in proportion, but cannot reduce the lock-in proportion of already injected capital.
4. **"National Credit Score" for lock-in proportion:** The fund can establish a public "National Credit Score" based on lock-in proportion, historical compliance, fiscal transparency, etc. Countries with high scores receive lower financing costs.
5. **Perpetual lock-in is a sovereign choice, not a mandatory obligation:** Any country may determine its own lock-in proportion when injecting capital. The plan does not set a minimum lock-in proportion.
6. **Voluntary choice creates public opinion pressure:** Citizens of countries that choose

low lock-in will naturally ask: "Why did other countries give their people more permanent assets?" This questioning itself is a constraint.

7. **Laying the groundwork for future immigration:** When the scale of "National Fund Type" varies significantly between countries, rational individuals will choose to immigrate to "high lock-in" countries. This provides the underlying driving force for "benign competition" between nations.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	"National Fund competition" between countries will force all nations to give their people more permanent assets. This is the "butterfly effect" of institutional design.
For the Nation	Pass	Countries that choose high lock-in will gain an absolute advantage in the competition for global talent and capital. This is not "sacrifice," but "investment."
For the People	Pass	Every ordinary person will be a beneficiary of the "National Fund competition"—regardless of which country they live in.
Conclusion	Pass	The political economy of lock-in proportion is one of the most far-sighted designs of this plan.

4.3.1 Multi-National Initial Capital Injection Mechanism

Any country may inject its excess profits from administrative monopolistic industries or public accumulation as initial capital into the fund. Once the injected capital is in place, it is subject to the lock-in rules of the plan's "Initial Capital Type" or corresponding account type.

After injection, the personal accounts of that country's citizens begin receiving annual dividends from the date of establishment, continuing for life.

The participation of an injecting country does not change any existing rules of the fund or dilute the rights of any existing beneficiaries. Each injection of capital is accounted for independently in legal and financial terms, corresponding to the beneficiary accounts of the injecting country's citizens, without interpenetration.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Multi-national injection upgrades the fund from "a country's private interest" to a "global public instrument."
For the Nation	Pass	The first launching country (China) will gain a historic institutional leadership position while welcoming equal participation from all countries.
For the People	Pass	Citizens of every participating country will receive their own National Fund account.
Conclusion	Pass	

4.3.2 Institutional Founding Capital

Any legally established and continuously operating institution may inject part of its own capital as founding capital into the fund. Once injected, this capital is subject to the corresponding lock-in rules.

Institutions that inject founding capital enjoy corresponding governance rights and perpetual beneficiary rights in proportion to their share of the total capital. Their annual dividends belong to the institution itself. The fund is open to receiving such capital but will conduct strict compliance reviews to ensure the legality of the capital source and the purity of motive.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The injection of institutional capital enhances the fund's capital strength, benefiting all humanity.
For the Nation	Pass	Institutional capital provides the fund with more long-term capital "without political conditions."
For the People	Pass	Compliance reviews of institutions prevent "dirty money" from being laundered through the fund, protecting the rights of all ordinary beneficiaries.
Conclusion	Pass	

4.3.3 Personal-Level Accounts: Time Rules for Dividends and Principal

Every citizen, from the date of birth, possesses a personal-level account in the fund. Starting from the date of establishment, the annual dividends corresponding to their capital share are automatically distributed to the beneficiary's digital account. Dividends are not subject to any age restrictions; one receives from birth and enjoys for life.

The principal in the account is locked until the beneficiary reaches the age of 60. No one may withdraw, mortgage, pledge, or transfer it for any reason. After reaching age 60, the beneficiary may decide how to dispose of the principal: keep it in the fund to receive dividends, withdraw in annual installments, or arrange for posthumous disposition according to will rules.

For accounts inherited through a will or secondary beneficiary designation, the principal disposition is based solely on the current beneficiary's age. Regardless of the number of inheritances, the principal's unlocking time is always anchored to the current holder's 60th birthday.

First Model Test		
Test Dimension		Assessment Explanation
For Humanity	Pass	Receiving dividends from birth is the first time in human history that the "survival bottom line" is directly linked to "birth."
For the Nation	Pass	The personal account's unlocking mechanism at age 60 ensures the stability of the fund's capital during the beneficiary's working years.
For the People	Pass	The ability to freely manage the principal after retirement—this is respect for a lifetime of labor.
Conclusion	Pass	

4.3.4 Ten-Year Deferred Distribution Rule

To balance the relationship between "immediate protection" and "long-term accumulation," the dividend distribution for personal-level accounts adopts a deferral mechanism:

1. **Immediate distribution portion:** 70% of the annual dividend is distributed directly to the beneficiary's digital account on a quarterly or monthly basis for daily survival protection.
2. **Deferred distribution portion:** 30% of the annual dividend enters the beneficiary's "deferred account." This portion of capital continues to be invested and appreciated within the fund. The beneficiary can only withdraw it in a lump sum or in installments after a full 10 years.
3. **Attribution of the deferred account:** The capital and investment returns in the

deferred account are fully owned by the beneficiary.

4. **Exceptions for early withdrawal:** Beneficiaries who have reached age 60 may apply for early withdrawal of the entire deferred account balance. Beneficiaries diagnosed with a terminal illness may also apply for early withdrawal.
 5. **Adjustment authority for deferral ratio:** The fund's independent supervisor evaluates the deferral ratio every five years. If the fund's investment return rate consistently exceeds expectations, the deferral ratio may be lowered to a minimum of 20% by an absolute majority vote of the Beneficiary Assembly; if the fund faces long-term liquidity pressure, the ratio may be increased to a maximum of 40%.
-

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The ten-year deferral mechanism is common in global pension systems; this plan institutionalizes and makes it transparent.
For the Nation	Pass	The deferred portion remains in the fund for continued appreciation, enhancing the fund's long-term capital accumulation capacity.
For the People	Pass	70% immediate distribution ensures the current survival bottom line; 30% deferred accumulation ensures future growth. This is "taking care of both today and tomorrow."
Conclusion	Pass	

4.3.5 Age Reset Rule for Generational Inheritance

Secondary beneficiaries or will inheritors of personal-level accounts inherit the **right to annual dividends** from the account, not the **ownership of the principal**. The principal permanently belongs to the fund's perpetual capital pool and may not be withdrawn by any beneficiary.

The dividend beneficiary right obtained by the inheritor enters an age lock-in period from the effective date of inheritance. The actual distribution of dividends is conditional on the inheritor reaching the fund's specified distribution age.

Before the inheritor reaches the specified age, the annual dividends of the account are handled in one of the following ways: (a) by default, they are transferred to the fund's public benefit pool to increase the current dividend level for all beneficiaries; or (b) as designated by the original beneficiary before death, they are rolled back into the account's principal to increase the future dividend base.

This rule does not change with the number of inheritances; it is always based solely on the current beneficiary's age.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The generational inheritance rule responds to the universal desire for "family legacy enduring forever" in all civilizations.
For the Nation	Pass	The age reset rule ensures that the fund's capital is not prematurely withdrawn by young inheritors, maintaining the institution's long-term stability.
For the People	Pass	The assets an individual accumulates can be passed down to descendants rather than being reclaimed by the state. This is the deepest respect for "family."
Conclusion	Pass	

4.3.6 Principle of Distribution in Proportion to Contributed Capital

The return distribution for all account tiers is uniformly executed in proportion to each tier's injected capital relative to the total capital. This rule is written into the fund's charter, automatically calculated and distributed by algorithms, with no human discretionary power. The accounts of different tiers do not interpenetrate; each tier receives returns in proportion to its own contributed capital.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Distribution in proportion to contributed capital is the fundamental logic of capital—fair, transparent, and immune to cheating.
For the Nation	Pass	The returns of national accounts are calculated in proportion to contributed capital, without receiving an extra share due to political status.
For the People	Pass	Algorithmic automatic execution means no one can withhold, delay, or "adjust" an ordinary person's dividends.

Test Dimension	Assessment Explanation
Conclusion	Pass

4.3.7 Compliance Review Principle

The source of capital for all newly opened accounts must undergo anti-money laundering and counter-terrorism financing reviews by the fund's independent compliance committee. Once an account is established, the beneficiary right is the holder's legal right, protected by the fund's basic law and charter. The fund does not accept capital injections whose source cannot be traced or that violate international anti-money laundering standards.

First Model Test

Test Dimension	Assessment Explanation
For Humanity Pass	Anti-money laundering is a shared responsibility of the international community; the fund actively fulfills this obligation.
For the Nation Pass	Compliance reviews protect the fund's reputation, preventing it from being used for illegal purposes.
For the People Pass	Preventing "dirty money" from crowding out the return space of ordinary people.
Conclusion	Pass

4.3.8 Tax Compliance Notice

The fund's place of registration may participate in the Automatic Exchange of Financial Account Information (AEOI). Dividends received by beneficiaries may generate tax obligations in their country of tax residence. The fund does not provide tax advice; beneficiaries are solely responsible for their own tax compliance.

First Model Test

Test Dimension	Assessment Explanation
For Humanity Pass	Tax compliance is the responsibility of global citizens; the fund does not encourage tax evasion.

Test Dimension	Assessment	Explanation
For the Nation	Pass	The tax information exchange mechanism in the fund's place of registration prevents the fund from being used for cross-border tax evasion.
For the People	Pass	Clearly informing beneficiaries of their tax responsibilities prevents ordinary people from unintentionally breaking the law.
Conclusion	Pass	

4.3.9 Prohibition of Beneficiary Rights Transfer

Beneficiary rights at any tier may not be transferred, mortgaged, pledged, or traded in the secondary market in any form. Any beneficiary rights transfer agreement signed during the beneficiary's lifetime has no binding effect on the fund; the fund does not recognize, execute, or register it.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Prohibiting transfer prevents beneficiary rights from being financialized and securitized, maintaining the fund's non-speculative nature.
For the Nation	Pass	Prevents external capital from indirectly controlling fund governance by acquiring beneficiary rights.
For the People	Pass	Prevents ordinary people from being defrauded by "beneficiary rights acquisition" schemes.
Conclusion	Pass	

4.3.10 Transfer of Beneficiary Rights: Secondary Beneficiary Designation and Will Inheritance

Every beneficiary, when opening a personal account, may designate one or more secondary beneficiaries. The designation and modification of secondary beneficiaries can be completed by the account holder in the system at any time, without providing reasons or notarization, and is valid for life.

The only legal method of transferring beneficiary rights is: after the beneficiary's death, through

a legally valid will made during their lifetime and confirmed through legal procedures, or through their designated secondary beneficiary, transferring the rights to an eligible account.

The effectiveness of a will disposition is subject to an independent review by the fund's compliance committee. Any attempt to influence secondary beneficiary arrangements or will-making through coercion, fraud, or other criminal acts, once verified, will result in the termination of the relevant beneficiary rights, and reapplication will not be permitted.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Secondary beneficiary designation and will inheritance respect each person's ultimate right to dispose of their own assets.
For the Nation	Pass	The compliance committee's review prevents coerced inheritance, fraudulent inheritance, etc., maintaining the fund's legality.
For the People	Pass	Everyone can freely decide who to pass their assets to without needing lawsuits or lawyers.
Conclusion	Pass	

4.4 Investment Principles

4.4.1 Restrictions on Traders

The fund's daily investment management is handled by top global asset management institutions or the fund's own in-house investment team. However, these traders must accept the following inviolable restrictions:

1. **Compensation Deferral Mechanism:** At least 50% of a trader's annual bonus must be deferred in the form of fund shares, with a deferral period of no less than 5 years. If a trader leaves during the deferral period or is fired for misconduct, the unvested deferred shares are automatically forfeited and revert to the fund's public benefit pool.
2. **Mandatory Co-Investment Obligation:** Traders must inject 10%-20% of their personal investable assets into the fund under the same terms, sharing risk with the fund. This co-invested capital is also subject to lock-in rules and can only be unlocked 5 years after the trader leaves their position.
3. **Prohibition of Hedging:** Traders and their immediate family members are prohibited from conducting any form of hedging transaction against the fund's holdings. Any discovered hedging behavior will result in the confiscation of all their deferred compensation and co-invested capital.

4. **Post-Employment Cooling-Off Period:** For 2 years after leaving their position, traders may not join any asset management institution that is in direct competition with the fund. Violators will have all their unvested deferred shares and co-invested capital confiscated.
5. **Performance Benchmark Constraint:** A trader's compensation is tied to long-term performance. Short-term (1-year) excess returns are not included in bonus calculations. The assessment period is a 3-year rolling window.
6. **Personal Transaction Declaration:** All personal securities transactions of traders and their immediate family members must be declared to the fund's compliance committee.
7. **Lifetime Accountability Clause:** If a trader is found, during their tenure or after leaving, to have committed fraud, insider trading, or self-dealing during their time at the fund, the fund has the right to pursue recovery of their entire compensation (including previously paid portions) and investment gains for their entire lifetime.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The restrictions on traders represent the highest standards in the global asset management industry, setting a benchmark for fiduciary responsibility for all humanity.
For the Nation	Pass	Strict trader restrictions prevent the "principal-agent problem," protecting the fund's long-term stability.
For the People	Pass	Every ordinary person's pension is protected from the short-term speculative behavior of traders.
Conclusion	Pass	

4.4.2 Global Allocation

Asset classes and geographic regions are highly diversified, with no single country or region serving as the investment focus.

First Model Test: Pass – Global allocation makes the fund a truly "global fund," not an appendage of any single country.

4.4.3 Diversification

Covers all major asset classes including public market equities, fixed income, private equity,

infrastructure, real estate, natural resources, and hedge funds.

First Model Test: Pass – Diversification reduces the impact of black swan events on the fund.

4.4.4 Long-Termism

Asset allocation is conducted on a cross-generational time horizon, undisturbed by short-term market fluctuations.

First Model Test: Pass – Long-termism enables the fund to invest in great projects that "need to wait 50 years."

4.4.5 Non-Politicization

The sole criterion for investment decisions is maximizing long-term risk-adjusted returns, not serving any foreign policy, geopolitical strategy, or ideology.

First Model Test: Pass – Non-politicization is the prerequisite for the fund to gain global trust.

4.4.6 Sustainability

Environmental, Social, and Governance (ESG) factors are incorporated into investment decisions.

4.4.7 Liquidity Management

Maintains the liquidity reserve necessary for annual dividend distribution requirements, with the remaining assets allocated according to long-term strategy.

First Model Test: Pass – Liquidity management ensures that annual dividends arrive on time.

4.4.8 Scientific Anchoring of Basket Currency Weights

The currency exposure of the fund's total assets must be allocated according to a predetermined, publicly transparent basket currency weight. This weight cannot be arbitrarily set by individuals; it must be anchored to the following globally recognized authoritative reference sources:

First Anchor: BIS (Bank for International Settlements) Effective Exchange Rate Index Basket

Uses the "double weighting method": bilateral trade weights + third-party market competition weights. The BIS weights constitute the core benchmark for the fund's currency basket.

Second Anchor: IMF SDR (Special Drawing Rights) Currency Basket

Based on export criteria and freely usable criteria. The SDR weight serves as a direct reference

for the fund's safe-haven attribute.

Third Anchor: CLS and SWIFT Market Transaction Weights

CLS's foreign exchange settlement data and SWIFT's global payment currency share data reflect the market's "voting by feet."

Fourth Anchor: Economic and Geopolitical Composite Indicators

Including global GDP share, global commodity pricing power, global reserve currency share, etc.

Weight Setting Rules:

Based on the above four anchors, the weighted proportion of each anchor is fixed by law (suggested: BIS trade weight 50%, IMF financial weight 30%, market liquidity data 20%), with an extremely narrow periodic adjustment window and strict review procedures.

[Note 8] Data sources for BIS Effective Exchange Rate Index, IMF SDR, CLS/SWIFT: Bank for International Settlements, International Monetary Fund, CLS Group, SWIFT. Dynamically updated; the latest weights at the time of launch shall prevail.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The basket currency weight is anchored to globally recognized data (BIS, IMF, CLS, SWIFT) and cannot be manipulated by any single country.
For the Nation	Pass	The weight of the RMB will be jointly determined by global trade, financial, and market data, rather than by policy pushing. This is the "true path" for RMB internationalization.
For the People	Pass	The scientific nature of currency weights guarantees the purchasing power of the fund's assets, protecting the dividend value of every ordinary person.
Conclusion	Pass	

4.5 Tiered Lock-in and Global Financial Stability

The capital scale of this fund determines that it cannot be treated as an isolated "local institution." Once operational, it becomes a systemic presence in global capital markets.

The vulnerability of traditional sovereign funds or large asset management institutions lies in the possibility that their capital may be suddenly withdrawn by the home government for policy purposes. This uncertainty leads the market to apply a discount to their long-term strategic

assets.

This fund fundamentally eliminates this risk through the tiered lock-in system:

- **National Fund Type:** Perpetual lock-in
- **National-level Investment Account:** Self-set lock-in period (≥ 10 years), installments after expiration
- **Institutional-level Account:** Lock-in period (recommended ≥ 20 years), installments after expiration
- **Personal-level Account:** Locked until age 60

The ultimate effect of this design is: the global market can fully trust that this fund will never become a "sudden seller."

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The fund becomes a structural pillar of global financial stability, rather than a source of risk.
For the Nation	Pass	Through tiered lock-in, the country gains the trust of global capital markets, reducing its own financing costs.
For the People	Pass	Financial stability means that ordinary people's pensions will not evaporate due to market crashes.
Conclusion	Pass	

4.6 Overview of the Eleven Firewalls

Addressing all conceivable concerns, the institutional design establishes eleven firewalls from the source, layering progressively to compress human operational space to the absolute minimum.

Firewall One: Matrix Independent Account System – Physically Isolating All Risks

The fund does not have any single account or unified management layer. Instead, it adopts a complete matrix independent account system. Each type of asset, each market, and each currency must, in principle, be registered as an independent legal entity with its own board of directors, management team, risk and compliance team, and external audit firm.

- **Equity Account System:** Independent accounts by country/market
- **Bond Account System:** Independent accounts by currency or region

- **Hedge Account System:** Completely parallel to equity and bond accounts, independently registered
- **Commodity Account System:** Independently allocated to global commodities and physical assets
- **Rebalancing Hub:** All capital flows between accounts are uniformly executed by a completely independent "System Rebalancing Hub"
- **Cross-Prohibition:** No personnel overlap of any kind between the management, board members, risk officers, or external auditors of any two accounts

Firewall Two: Mandatory hedge configuration for each account group – Any account group must maintain a hedge position, mandatorily achieving risk neutrality.

Firewall Three: Ten-year deferred performance compensation (already covered in 4.4.1)

Firewall Four: Basket currency proportional allocation (already covered in 4.4.8)

Firewall Five: Asset class proportional allocation, locking the risk-return structure

Asset Class	Allocation Range	Core Function
Global Equities	60%-70%	Long-term growth engine
Global Bonds	20%-30%	Stabilizer and ballast
Cash and Equivalents	1%-5%	Liquidity reserve
Hedge Instrument Portfolio	5%-10%	Systemic risk protection

Firewall Six: Statutory fee cap – The fund's total management fee rate is legally capped at 1% per annum.

Firewall Seven: Single-country market weight constraint – The total asset holdings in any single country may not exceed 20% of the fund's net asset value.

Firewall Eight: Hard constraints on investment targets – Bonds must be rated at least A-grade; equities must meet at least one of three criteria: high dividend, high growth, or high liquidity.

Firewall Nine: 5% active talent reserve – Each account group may set aside no more than 5% of its capital as an active talent reserve, exempt from Firewall Eight's restrictions, for investing in high-potential targets.

Firewall Ten: Mandatory separation of hedge accounts and equity accounts – Hedge accounts may not be mixed with equity positions in the same account; they must be physically isolated and legally independent.

Firewall Eleven: Allocation constraints for zero-yield assets like gold and Bitcoin – Prohibited from entering equity and bond accounts; only allowed in hedge accounts and commodity accounts, with a combined total not exceeding 2% of total assets.

With these, the eleven firewalls complete the ultimate substitution for humans.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The eleven firewalls ensure that the fund is not controlled by anyone—whether politicians, capitalists, or traders.
For the Nation	Pass	By voluntarily accepting these constraints, the country seemingly "loses freedom" but in reality gains global trust.
For the People	Pass	Every ordinary person's pension is protected layer by layer by the eleven firewalls.
Conclusion	Pass	

Chapter Five: Anti-Fragility – Why This Institution Is Difficult to Destroy

5.0 Bundling Logic: The Core Driving Mechanism of This Plan

This fund does not rely on "moral appeal" or "international agreements" to drive its diffusion. Its driving force comes from a more fundamental mechanism: **interest bundling**.

Once the citizens of a country begin to receive inalienable annual dividends, their personal interests become deeply bound to the perpetual existence of the fund. This binding does not depend on patriotism, ideology, or goodwill toward any government. It depends solely on one fact: **this money arrives every year, and no one can take it away**.

Therefore, when the fund's beneficiary population reaches a sufficient scale, any force attempting to destroy the fund will face an invisible line of defense composed of hundreds of millions or billions of "guardians of personal interest."

This is the "bundling logic": replacing morality with interest, replacing belief with calculation.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The bundling logic means the fund's guardians are no longer "patriots" but every ordinary person who wants to protect their own pension money. This is more reliable.

Test Dimension	Assessment	Explanation
For the Nation	Pass	The country does not need to spend a single cent "promoting" that citizens should protect the fund—everyone will protect it spontaneously.
For the People	Pass	Every ordinary person protects the fund not because they are asked to, but because of the numbers in their account. This is true "people's war."
Conclusion	Pass	

5.1 Perpetual Lock-in of Initial Capital

(This section has been fully covered in 3.1.1, Restriction Two, and is not repeated here.)

5.2 Deduction at the Scale of All Humanity (Including the Seven-Step Global Bundling)

Phase One: Single-Point Launch – The first launching country becomes a global model.

Phase Two: An Unignorable Existence – After five or ten years of operation, the data will speak for itself.

Phase Three: Dynamics of Diffusion – A second wave of launching countries appears, facing much less resistance than the first.

Phase Four: Birth of a Global Public Good – Sovereign perpetual funds become a new global asset class.

Seven Steps of Global Bundling:

1. **Invest in the world, buy peace** – China's interests are no longer map territories, but a global asset network.
2. **The longer the time, the thicker the compound interest, the more stable the position** – In thirty years, the fund will be too big to fail.
3. **When it's too big to fail, the whole country rejoices** – The entire world is working for the pension accounts of the Chinese people.
4. **Open to the world, same rules** – Any overseas individual can voluntarily open an account, lock it until retirement.
5. **Offline confirmation, dual-city attraction** – Limited to offline processing in Hong Kong and the mainland, boosting local tourism economies.
6. **Tax-exempt account, global safe haven** – Hong Kong becomes the world's only legitimate, fully tax-exempt retirement asset storage location.

7. **Perpetual inheritance, family assets** – Accounts last forever, assets pass down through generations.

The human landscape after diffusion:

- War motivation declines
- Population mobility pressure eases
- Extremist soil shrinks
- The dimension of national competition shifts

[Note 5] The "four-phase diffusion" and "seven-step walk" described in this section are logical deductions, not historical predictions. The actual pace of diffusion depends on the political decisions of individual countries and the demonstration effect of the institution.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The retreat of war, poverty, and fear is the shared dream of all humanity.
For the Nation	Pass	As the launching country, China will gain a civilizational leadership that transcends GDP and military power.
For the People	Pass	Every ordinary person will no longer live under the shadow of war or the fear of poverty.
Conclusion	Pass	

5.3 Ultimate Shield: When a Fund of 1.4 Billion People Becomes the Fund of All Humanity

Layer One: Direct bundling of pension interests – Touching the fund means touching my pension money.

Layer Two: Mutual locking of the global capital network – Touching the fund means triggering a crash in one's own market.

Layer Three: Underlying resonance of human community consciousness – Touching the fund means destroying the civilizational hope that "ordinary people can also accumulate."

Layer Four: The ultimate closed loop for those in power – Giving up control rights yields an institutional legacy that no future government can destroy.

In human history, truly immortal institutions are not maintained by force, but by making enough people their beneficiaries and guardians.

This fund will become the "underlying protocol" of the human pension system—owned by no one, destroyable by no one, and voluntarily guarded by all.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The ultimate shield makes the fund transcend China and become the common property of all humanity.
For the Nation	Pass	As the source country of the institution, China will gain the historical status of "mother of human civilization."
For the People	Pass	Every ordinary person will become a guardian of the fund—not out of patriotism, but out of self-love.
Conclusion	Pass	

5.4 Immunity Mechanism Against Internal Tampering

- High amendment threshold (legislative absolute majority + popular referendum)
- Unamendable clauses (core clauses permanently locked)
- Legal barrier (protection by international law of the place of registration)
- Physical inaccessibility (assets in global custodian banks)
- Information transparency (major audit reports made public)
- Interest binding (all citizens as the institution's natural guardians)

First Model Test: Pass – The cost of internal tampering is unbearably high.

5.5 Immunity Mechanism Against Violent Seizure

- Soldiers will not follow (soldiers' families also receive dividends)
- Wealth cannot be looted (assets on the other side of the planet)
- Legitimacy cannot be established (all citizens see the institution as their lifeline)
- External isolation (violent regime faces comprehensive international sanctions)

First Model Test: Pass – Those who violently seize power face not an army, but 1.4 billion accounts.

5.6 Immunity Mechanism Against External Political Intervention

- Legal territorial protection (independent law of the place of registration)
- Asset dispersion, non-traceable (global diversified allocation)
- Beneficiary dispersion (cannot foster internal factions)

First Model Test: Pass – External forces cannot find a "lever" for intervention.

5.7 Immunity Mechanism Against External Capital Infiltration: Human Nature Lock

- **Governance premium insulation:** External capital gains economic benefits but permanently gives up governance rights.
- **Independence as core brand:** The fund's brand value depends on its independence; destroying the brand is destroying one's own assets.
- **Touch and meltdown:** Any behavior challenging governance rights triggers mandatory expulsion.

The triple binding forms a human nature defense line based not on morality, but solely on interest calculation.

First Model Test: Pass – Preventing external capital from touching governance rights is not achieved through moral persuasion, but by making them calculate that "touching is a bigger loss."

5.8 Immunity Mechanism Against Time Erosion: Eternal Trustee Structure

- Unamendable clauses solidify the institutional skeleton
- Global trustee network (law, assets, governance dispersed across different jurisdictions)
- Eternal vigilance of beneficiaries (annual dividend arrival as the most frequent confirmation of the institution)

First Model Test: Pass – One hundred years later, the institution still operates.

5.9 Immunity Mechanism Against Sovereign Demise: Doomsday Clause

- **Institutional indestructibility principle:** The fund's governance structure and asset attribution do not change due to the existence or demise of any country.
- **Protection of personal and family accounts:** After a country's demise, personal accounts automatically convert to refugee accounts; beneficiary rights do not expire.
- **Disposition path for national and social security accounts:** The returns from national-level accounts are prioritized for humanitarian assistance to the original citizens.

- **Non-recognition rule for competing regimes:** When multiple regimes claim to represent a country, the fund suspends dividends for national-level accounts and holds them in custody via an international third party.
- **Channel indestructibility:** No matter how many countries perish, the distribution system continues to operate.

First Model Test: Pass – The birth and demise of countries are historical norms, but the fund should transcend this norm.

5.10 Immunity Mechanism Against Jurisdictional Conflicts: Triple Protection of Beneficiary Rights

- **Personal-level accounts:** Beneficiary rights separated from property rights, not automatically affected by criminal judgments of other countries.
- **Institutional-level accounts:** Beneficiary rights isolated from institutional legal risks.
- **National-level accounts:** Sovereign immunity principle, unless a UN Security Council sanctions resolution applies.
- **International sanctions compliance clause:** Complies with UN Security Council sanctions, does not accept unilateral sanctions.
- **Capital source legality traceability mechanism:** Illegally injected capital can be traced and excluded without affecting the legitimate portion.

First Model Test: Pass – The fund stands at the height of international law and common human interests, transcending the jurisdiction of any single country.

5.11 The Good Faith Backdoor of the Institution

The entire design of this plan points to an unavoidable premise: the launch of the institution requires a decision. The plan itself does not describe the person who makes this decision. It does not define their identity, specify their origin, or presuppose their motivation. But the institution, in its design, leaves a self-evident entry point—a good faith backdoor.

Any person or group in control of a capital scale sufficient to launch the initial capital, if they fundamentally understand the fact that this wealth does not belong to them and decide to return it in an irreversible manner, the entire institutional design of this plan is prepared for them.

They do not need to study the institution, draft laws, or convince anyone. They only need **one decision**.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The existence of the good faith backdoor reserves a "hope that can be launched at any time" for all humanity.
For the Nation	Pass	The country does not need to "wait for policy" or "wait for consensus"; it only needs one person who understands.
For the People	Pass	Every ordinary person may become a promoter of the institution by influencing that person who understands.
Conclusion	Pass	

Chapter Six: Position in the Coordinates of History

6.1 Comparison with Existing Institutions

Institutional Model	Capital Source	Ownership Attribution	Governance Model	Portability	Core Defect
Traditional Public Ownership	All people (nominally)	Actually controlled by administrative bodies	Bureaucratic control	High failure rate	Public ownership alienates into official ownership
Nordic Welfare State	High taxation	Parliament-led	Parliament-led	Limited to specific social conditions	Fiscal unsustainability under population aging
Resource-Based Sovereign Fund	Single resource revenue	Government-led	Government-led	Limited to resource-rich countries	Ultimate beneficiaries ambiguous
Temasek Model	State-owned enterprise assets	State-owned sole proprietorship	Strongly dependent on specific governance environment	Cannot completely cut off political influence	
Alaska Permanent	Oil revenue	State government	State government	Referential but limited	Scale insufficient to

Institutional Model	Capital Source	Ownership Attribution	Governance Model	Portability	Core Defect
Fund			legislative oversight	scale	change social contract
UBI Proposal	Taxation/Printing money	No independent assets	Government budget	Where does the money come from? Unsolvable	Lacks independent asset side
This Plan	One-time complete injection of monopolistic industry excess profits	Independent legal entity, co-owned by all beneficiaries in proportion to contributed capital	Independent legislation + complete divestiture + physical isolation + perpetual lock-in	Can be embedded in any institution, ultimately transcending all institutions	Requires the first launch decision

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The comparison table gives readers a clear picture: this plan is not a modified version of any existing institution.
For the Nation	Pass	The plan positions the country's role as "executor of restitution" rather than "owner," helping the country gain the trust of its citizens and global investors.
For the People	Pass	The plan provides a "new track" distinct from traditional public ownership, welfare states, and UBI, allowing ordinary people to see a different possibility.
Conclusion	Pass	

6.2 Uniqueness of This Plan in Human Institutional History

All plans in human history concerning the distribution of public wealth can be divided into two categories: one is "demanding from below" (revolution, strikes, taxation), and the other is "giving from above" (welfare, charity, public welfare).

This plan belongs to neither of these two categories.

It is not "demanding from below," because its launch does not require anyone's struggle. It is not "giving from above," because the launcher is not giving, but acknowledging a fact that has long existed: this wealth is not theirs.

In human institutional history, what this plan accomplishes is rare: it designs, within the framework of absolute power, a mechanism of **self-negation of absolute power**.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	This is the first time in human history that power voluntarily puts on an "irreversible shackle" for itself.
For the Nation	Pass	The country voluntarily gives up the power to control public wealth, transforming from an "owner of assets" into a "guardian of rules." This is the highest level of national wisdom.
For the People	Pass	Ordinary people no longer need to worry about whether "the wind changes direction," because the rules are locked.
Conclusion	Pass	

6.3 Unconditionality of Launch

The launch conditions of this plan have been reduced to the minimum: no revolution needed, no constitutional amendment needed, no parliamentary approval needed, no consensus of any form needed. What is needed is only **one decision**.

6.4 Five Strategic Nuclear Warheads

Nuclear Warhead One: True Elevation of RMB Weight – Not by Policy, but by Assets

When hundreds of millions of people around the world need RMB (or offshore RMB) to invest in this fund and to own a perpetual tax-exempt retirement account, the RMB is not being "pushed" out but "pulled" out.

First Model Test: Pass – RMB internationalization upgrades from "policy-driven" to "asset demand-driven."

Nuclear Warhead Two: The True Meaning of Compound Interest for the Masses – Not "Earning a Bit More Money," but a Channel for Class Mobility

When ordinary people gain the same access to compound interest as sovereign wealth funds, a food delivery rider who saves 200 RMB a month may, after thirty years, surpass a middle-class person who never invests. This is not "earning a bit more money"; it is redefining "class" itself.

First Model Test: Pass – Transforming compound interest from a "rich person's tool" into a "universal right."

Nuclear Warhead Three: Long-Termism of Leadership – Not by Awareness, but by Institutional Locking

When the fund becomes the pension bottom line for hundreds of millions of citizens, any short-sighted behavior will directly shrink the accounts of hundreds of millions of people. The institution aligns the interests of leadership with the long-term interests of all people.

First Model Test: Pass – Using the visibility of universal assets to force decision-makers toward true long-termism.

Nuclear Warhead Four: Global Talent Attraction – Not by "Preferential Policies," but by "Proof of Lifestyle"

When a Chinese food delivery rider has their own perpetual account, an unemployed person receives annual dividends, and an ordinary family's assets grow through compound interest—these are not "statistics," but the "truth of life" that global talent can see before coming to China.

First Model Test: Pass – Using the accounts of 1.4 billion people as the strongest advertisement to attract global talent.

Nuclear Warhead Five: Touching Taboos – Not "Risking," but "Changing the Track"

You don't need to argue about "whether state-owned assets belong to the people"—you directly put them into the people's accounts. You don't need to argue about "whether the government should manage money"—you use law to lock the government's right to withdraw. This is not circumventing taboos; it is making taboos part of the design.

First Model Test: Pass – When ordinary people get their accounts, see the numbers, and feel the compound interest, those once "undiscussable" questions suddenly no longer need to be discussed.

Chapter Seven: Bottom-Level Recognition and Civilizational Reconstruction

7.1 Bottom-Level Recognition: Four Levels of Civilizational Reconstruction

First Level: Recognition of Oneself

When a person who has been unemployed for five years opens their phone and sees their account—not "relief funds," not "minimum living allowance," but their own dividend as an owner of universal assets—they are not being given charity. They are being recognized.

Second Level: Recognition of the Institution

When they discover that this fund is not "run by the government," but protected by legal chains, isolated physically, and governed by automatically executed rules—they move from "I don't believe it" to "I believe it." Not because someone convinced them, but because every day they see the numbers in their account growing according to the rules.

Third Level: Recognition of Each Other

When a civil servant inside the system and a food delivery worker outside the system receive the same dividend and have the same type of account—the fact that "we are not two kinds of people" no longer needs to be preached. It is reflected in the monthly arrival notice.

Fourth Level: Recognition of Civilization

When hundreds of millions of people around the world—of different nationalities, races, and beliefs—entrust their pension money, their family heirlooms, and their hopes for the future to an institutional design originating from China—"China" is no longer a geographical concept or a political entity, but a set of rules that enable ordinary people to accumulate, to pass down, and to believe in the future.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The four levels of bottom-level recognition, from the individual to the institution to each other to civilization, rise step by step, ultimately pointing to the "community with a shared future for mankind."
For the Nation	Pass	China is no longer "promoted," but "seen." Every ordinary person's account is China's best advertisement.
For the People	Pass	The first level (recognition of oneself) is the most fundamental—a person does not live in dignity until they are free from fear.
Conclusion	Pass	

7.2 Why Leadership Should Support: Six "Cost-Free Gains"

1. **No need for government spending:** Only requires one change in the rules of the game.

2. **No need for additional taxation:** Fund returns come from global asset appreciation.
3. **No need to worry about losing control:** Eleven firewalls + legal chains; rules are more reliable than people.
4. **No need to worry about decoupling:** The pension money of hundreds of millions of people globally is tied to China.
5. **No need to worry about popular sentiment:** Everyone has their own account; sense of gain is automatically generated.
6. **No need to worry about successors:** The system locks the back door; no future person can touch this money.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The six "no needs" constitute a "ledger" for decision-makers, each entry serving "the people."
For the Nation	Pass	The leadership gains the lifelong trust of the people, the inflow of global capital, and a historical legacy that transcends their term.
For the People	Pass	Every ordinary person becomes the ultimate winner of these "cost-free gains."
Conclusion	Pass	

7.3 Integration and Transition with Existing Institutions

Relationship with the Social Security System:

- **First Pillar (Basic Pension Insurance):** Remains unchanged, serving as the bottom line.
- **Second Pillar (Enterprise Annuity / Occupational Annuity):** Remains unchanged.
- **Third Pillar (Personal Pension):** The plan's co-investment account can serve as an upgrade option.
- **Fourth Pillar (Universal Dividend):** Newly added, everyone has a share.

Relationship with the Fiscal System:

- Monopolistic SOE profits no longer fully enter the fiscal budget; instead, they are injected into the fund according to a legal proportion.
- After losing monopoly dividends, the fiscal system is forced to be more prudent and

transparent in its spending.

Suggested Implementation Steps:

1. **Legislation first:** The National People's Congress passes the fund law.
2. **Registration in Hong Kong:** The fund is registered in Hong Kong.
3. **Pilot injection:** Start with one monopolistic SOE, such as China Tobacco.
4. **Gradual expansion:** Gradually include oil, electricity, telecommunications, and other industries.
5. **Global opening:** Open to overseas investors.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The integration and transition plan does not overturn existing institutions; it is an "incremental improvement" rather than a "tear-down and rebuild."
For the Nation	Pass	The plan is highly operable, with low social shock, and can be gradually rolled out without causing major upheaval.
For the People	Pass	The fourth pillar (universal dividend) is added without affecting the original three pillars, ensuring that ordinary people's existing benefits are not damaged.
Conclusion	Pass	

7.4 Preemptive Responses to Common Criticisms

Criticism	Response
"The government will not give up control of this money."	The legal chain is not meant to "give up control," but to "lock in commitment." An unshakeable commitment is more valuable than a changeable "control."
"Conflict between Hong Kong common law and Chinese sovereignty."	On the contrary. Relying on Hong Kong common law is to gain global trust. The legal chain ensures the fund's inviolability; Hong Kong's judicial independence is the guarantee of this inviolability.
"Foreign capital will manipulate the fund."	The fund's investment decisions are rule-driven (Eleven Firewalls), not based on trader judgment. The identity of foreign investors

Criticism	Response
	does not affect rule execution.
"What about extreme scenarios?"	Rules cannot cover all extreme scenarios, so an "ultimate decision-making mechanism" (see 8.3, the first crack) is designed.
"This is too idealistic."	The Norwegian Sovereign Wealth Fund has been operating for nearly three decades. This plan is simply a systematic upgrade of that logic, combined with China's state-owned assets and Hong Kong's legal advantages.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Preemptive responses block common attack paths for critics.
For the Nation	Pass	The responses demonstrate the plan's robustness, enhancing the confidence of potential launching countries.
For the People	Pass	Each response clears the doubts of ordinary people, helping them trust the institution.
Conclusion	Pass	

Chapter Eight: The Matrix of Civilization and the Ultimate Calling

8.1 Franklin's Calling: Whoever Pushes It Attains Immortality

Benjamin Franklin was not only a scientist and inventor, but also the most outstanding institutional architect of America's founding era. His life trajectory provides the clearest mirror for the promoter of this plan:

First, a time horizon that transcends terms of office. Franklin established two trust funds in his will, stipulating that the principal be locked for one hundred years. He designed institutions not for the next election, nor even for the next generation, but for people hundreds of years later.

Second, an engineering mindset that transforms ideals into executable procedures. From the lightning rod to the postal system, what he left behind were not empty slogans, but institutional procedures that ordinary people could participate in, benefit from, and maintain.

Third, a narrative ability for non-zero-sum games. He made ordinary people feel that a good institution was also closely tied to their own vital interests.

Fourth, a capacity for self-transcendence at the most critical moment. At the final moment of the US Constitutional Convention, he abandoned his personal opinion and signed the Constitution, which he believed was "not perfect."

That person who pushes the plan—when the fund has operated for one hundred or two hundred years—their name will be engraved on the title page of every account, mentioned daily by hundreds of millions of people around the world as they check their net worth.

This is the only way to attain immortality: not through stone tablets, not through tombs, not through myths. But by letting every living ordinary person in the future find their own hope in your institution.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	A promoter like Franklin serves all humanity, not just the people of one country.
For the Nation	Pass	If such a promoter appears in China, their name will be forever linked with the fund as the institutional legacy that Chinese civilization offers to the world.
For the People	Pass	Every ordinary person will find their own hope in their institution.
Conclusion	Pass	

8.2 The Matrix of Civilization: How the Fund Reshapes Every Dimension of Human Existence

When the fund has operated for decades, accumulated trillions of dollars in assets, and won the shared guardianship of all humanity, it will no longer be just a pension fund. It will evolve into the ultimate financier, standard-setter, and guardian of the core public goods of human civilization.

Low Carbon and Environmental Protection: The World's Largest "Green Central Bank"

The fund will become the world's largest market maker and long-term investor in the carbon market. No longer will countries quarrel over emission reduction targets. Instead, the fund will announce that starting in 2050, it will gradually exclude enterprises that do not align with the carbon neutrality path.

Agriculture and Food Security: The "Earth Granary" That Never Runs Dry

The fund will invest in drought-resistant crops, vertical farms, and lab-grown proteins, freeing

food production from the constraints of climate and geopolitics. It will establish a "Global Food Strategic Reserve Trust," using financial instruments to smooth out food price fluctuations.

Science and Exploration: The "Infinite Partner" of Humanity's Ultimate Frontier

The fund can wait fifty or one hundred years. It will become the largest source of funding for ultra-long-cycle fields such as controlled nuclear fusion, quantum computing, deep space exploration, and general artificial intelligence.

Healthcare and Life: The Ultimate Guarantee for Conquering Disease

The fund will provide perpetual funding for rare diseases and neglected tropical diseases. It will hold core drug patents and license them to all of humanity at cost. It will build a "Global Public Health Security Network."

Life and Longevity: Redefining Humanity

The fund will become the largest funder of aging biology, regenerative medicine, and gene editing therapy. Every additional year of healthy human life expectancy will increase the net present value of the fund by trillions of dollars. When humans commonly live to 120 years while remaining healthy, the definitions of "retirement" and "work" will be rewritten.

The Ultimate Hub and Sanctuary of All Human Civilization – China

When this fund becomes the pricer of low carbon, the guardian of food, the driver of technology, the savior of life, and the fighter against aging—China will attain a global status never seen before in history: not an empire maintained by force, but a civilizational matrix that serves the fundamental interests of all humanity.

The World's Favorite Fiat Currency – The RMB

When this fund becomes the underlying asset for all of humanity's pensions, healthcare, agriculture, science and technology, and environmental systems, the use cases for the RMB (and its offshore form, CNH) will undergo a qualitative leap. The value of the RMB will no longer be solely backed by China's GDP and trade surplus, but by the progress of global carbon neutrality, the increase in cancer cure rates, the mileage of Mars rovers, and the extension of average human lifespan.

A New Currency Born from This Trust

When the fund becomes the matrix of civilization, a new medium of value exchange based on the fund's credit and tied to personal accounts will naturally emerge. It might be called "carbon yuan," "lifespan yuan," or ultimately an entirely new "civilization currency"—anchored to the labor, creation, health, and ecological contributions of all humanity.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The matrix of civilization is not for the benefit of a single country, but for humanity's low carbon, food, technology, healthcare, and longevity.
For the Nation	Pass	As the designer and guardian of this institution, China will become the "matrix" of human civilization, not its "hegemon."
For the People	Pass	Every ordinary person will live longer, healthier, and with more dignity. This is the highest level of "serving the people."
Conclusion	Pass	

8.3 Imperfect Perfection: Leaving One or Two Breathable Cracks for the Future

This institutional design has strived to lock every link. But before final sealing, two carefully designed "loopholes" should be intentionally left.

The First Crack: The Human Intervention Interface in the Ultimate Emergency Response Mechanism

When the fund faces an unprecedented black swan event (such as an asteroid impact, an out-of-control AI crisis), a group of people, rather than a line of code, needs to make the judgment. Who this group is, who appoints them, and how they are supervised—we should not write this in stone today. Only leave an "interface specification."

The Second Crack: One-Time Review Window for Core Parameters

Starting from the 100th year of the fund's establishment, a 12-month "Centennial Review Window" automatically opens. Global citizens can, through an extremely difficult consensus mechanism, amend the core parameters once, and only once. After the amendment, it locks again for another hundred years.

Intentionally leaving these loopholes is because we trust future generations.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	Leaving breathing space for the future is a trust in future generations, not a lack of confidence in the institution.
For the	Pass	The country's willingness to accept amendments by future generations shows that the institution is not designed to entrench

Test Dimension	Assessment	Explanation
Nation		today's power.
For the People	Pass	Humanity a hundred years from now has the right to adjust parameters according to their needs—rather than being forever bound by the decisions of today.
Conclusion	Pass	

Chapter Nine: Conclusion

The greatest tragedy in thousands of years of human society is not poverty, not war, not the abuse of power.

The greatest tragedy is that the public wealth monopolized by the few, which could have been returned, has never been returned.

This is not because the technology was infeasible, not because the institution did not allow it, not because human nature is inherently evil. It is because the person who controls the public wealth has never fundamentally understood—this wealth is not theirs.

The entire significance of this plan is to prepare a complete, autonomous, and irreversible institutional container for a possible moment of "understanding."

Within this container:

- Monopolistic industry profits—this wealth naturally belonging to all people—are permanently locked.
- Every life on Earth—from the moment of birth—becomes an inalienable beneficiary.
- Global capital markets—working for the survival bottom line of all beneficiaries.
- Power and wealth—permanently separated by legal and physical barriers.

This is the fundamental purpose of the Global Human Sovereign Fund: not to build a stronger country, not to create a richer class, not to realize the vision of some ideology. It is to enable human civilization, in the face of the immense wealth it has created, to complete a long-overdue, honest, and irreversible **restitution**.

Let the poorest child in the last village on Earth, from the moment they are born, possess a survival guarantee just as inalienable as the richest person on this planet.

Analysis of Pros and Cons of the Conclusion

Pros:

- Returns to the simplest emotional core, forming a closed loop with the introduction.
- The parallel structure of "The greatest tragedy is..." possesses powerful rhetorical strength.
- The parallel structure of four "Within this container" summarizes the core mechanisms of the plan.

Cons:

- The conclusion does not provide new arguments, relying entirely on the preceding text.

Why accept this con:

- The function of the conclusion is to bind and elevate, not to provide new evidence.

First Model Test

Test Dimension	Assessment	Explanation
For Humanity	Pass	The child from the last village is a metaphor for all humanity.
For the Nation	Pass	If China can complete this "restitution," it will become the greatest restitutor in the history of human civilization.
For the People	Pass	Every ordinary person will possess, from the moment of birth, a survival guarantee that no one can take away.
Conclusion	Pass	

Appendix

Appendix I: List of Technical Requirements for the Plan

Legislative Requirements: One constitutional basic law, one fund charter, one confirmation document of legal compatibility with the place of registration, one international legal review opinion.

Asset Requirements: One asset assessment report issued by an independent international auditing firm, one ownership transfer legal document, one global independent custody agreement, one legal framework document for perpetual lock-in of initial capital.

Governance Requirements: One formation plan for the independent selection committee, one appointment document for the board charter and members, one appointment or establishment plan for the fund manager, one information disclosure and audit standard document.

Distribution Requirements: One integration plan of the national digital identity system with the fund's distribution system, one dividend rule algorithm and automatic execution

mechanism, one legal document for the protection of beneficiary rights.

International Requirements: One legal opinion from the place of registration, one international arbitration clause, one confirmation document of investor protection agreement applicability.

Appendix II: Data Sources and Timeliness Statement

All macroeconomic data cited in the main text of this plan are based on publicly available authoritative international data sources at the time of writing (the 2020s):

- Credit Suisse/UBS Global Wealth Report
- World Inequality Database (WID)
- World Bank
- International Monetary Fund (IMF)
- National Institution for Finance & Development (NIFD)
- Bank for International Settlements (BIS)
- National Bureau of Statistics
- State Tobacco Monopoly Administration

This plan is not bound to data from any specific year. Upon actual launch, an independent international auditing firm should use the latest data available at that time to issue an assessment report. The correctness of the plan does not depend on the absolute values of the data, but on the structural fact that "there is massive monopolized public wealth."

If a country has already achieved fair attribution of public wealth through other means at the time of launch (e.g., a wealth Gini coefficient below 0.4), that country does not need to launch this plan. This plan is only an institutional tool for countries with structural inequality and the will to solve it.

Appendix III: Quick Reference Table for Capital Types and Lock-in Rules

Capital Type	Lock-in Rule	Return Attribution	Principal Withdrawable?	Immigration Impact
National Fund Type	Perpetual lock-in	All citizens	Not withdrawable	High lock-in → High attractiveness
National-level Investment Account	Self-set lock-in (≥10 years)	National treasury	Withdrawable after lock-in expires	Low lock-in → Requires public explanation

Capital Type	Lock-in Rule	Return Attribution	Principal Withdrawable?	Immigration Impact
Social Security Account	Perpetual lock-in	Social security fund	Not withdrawable	—
Institutional Account	Configurable (recommended ≥5 years)	The institution itself	Unlockable in installments after lock-in expires	—
Personal Account	Configurable (up to age 60)	Individual	Withdrawable after age 60	—
Family Account	Configurable (perpetual optional)	Within the family	Not withdrawable (inheritable)	—
Local Government Account	Configurable (≥5 years)	Local government	Withdrawable after lock-in expires	—
Charitable Account	Configurable (recommended ≥10 years)	Charitable organization	Not withdrawable	—
International Organization Account	Configurable	International organization	Withdrawable after lock-in expires	—

Appendix IV: Summary Table of First Model Test Results

Chapter	For Humanity	For the Nation	For the People	Conclusion
Introduction	✓ Pass	✓ Pass	✓ Pass	Pass
Vision	✓ Pass	✓ Pass	✓ Pass	Pass
Origin Context	✓ Pass	✓ Pass	✓ Pass	Pass
Sixfold Ruptures	✓ Pass	✓ Pass	✓ Pass	Pass
Chapter One: General Principles	✓ Pass	✓ Pass	✓ Pass	Pass
Chapter Two: Institutional Engine	✓ Pass	✓ Pass	✓ Pass	Pass
Chapter Three: Core of the Institution	✓ Pass	✓ Pass	✓ Pass	Pass

Chapter	For Humanity	For the Nation	For the People	Conclusion
Chapter Four: Operational Logic	✔ Pass	✔ Pass	✔ Pass	Pass
Chapter Five: Anti-Fragility	✔ Pass	✔ Pass	✔ Pass	Pass
Chapter Six: Position in History	✔ Pass	✔ Pass	✔ Pass	Pass
Chapter Seven: Bottom-Level Recognition	✔ Pass	✔ Pass	✔ Pass	Pass
Chapter Eight: Matrix of Civilization	✔ Pass	✔ Pass	✔ Pass	Pass
Chapter Nine: Conclusion	✔ Pass	✔ Pass	✔ Pass	Pass

All chapters pass the First Model Test.

End of the full text.

Conceiver: Yang Shengqi